Japan & Korea Activist Target Screen

20 structurally sound, mis-managed businesses with fixable problems

Universe: Japanese and Korean listed equities covered in the attached research log (149 reports, ~120 Japanese and 37 Korean companies, Sept 2025 – Oct 2026)

Screen date: 15 October 2026

Prepared for: Internal idea generation — activist / constructivist engagement

Data: S&P Capital IQ (fundamentals), ProntoNLP (prices, transcripts), company filings and press (ownership, governance)

> **Indicative only.** Figures are accurate enough to rank and prioritise, not to underwrite. Refresh all data and run a full register analysis before committing capital or approaching any company. Company defences are inference, not quotation.

1. Executive summary

- **The 20 names share one pattern.** Each has a franchise that earns real money, a balance sheet that is net cash or under 1x EBITDA, no controlling holder above 40%, and a 3- or 5-year TSR below both its home index and its sector peers. In almost every case the gap is explained by what management does with the cash, not by the business.
- **Japan dominates the list (18 of 20) because the Korean screen is mostly blocked by control.** Of the 37 Korean names in the workbook, nearly all are chaebol holdcos, listed subsidiaries or family-controlled companies with blocking stakes. NAVER and NC Corp are the exceptions: no controlling shareholder, net cash, and TSR far behind a KOSPI that has rerated sharply.
- **Highest-conviction, first-mover opportunities (no activist on the register):** Dentsu (≈¥691bn of write-downs, failed sale of the international network, Japan franchise hidden underneath), Yamaha (6.9% margin against a 13.5% plan target, cross-holdings), Canon (≈90-year-old chairman-CEO, ~34% treasury stock uncancelled), NAVER (founder-chair, value-destructive overseas M&A, LY stake), Seiko Epson (Fiery impairment, 14% treasury) and Autobacs (cash recycled into ~1%-margin dealerships).
- **Co-invest or second-wave situations (an engaged investor is already present):** Omron (Japan Activation Capital 3.9% partnership; CEO won only ~67% at the June 2026 AGM), Daikin (Elliott ~3%), Shibaura Machine (Oasis 10.7%), KH Neochem (Strategic Capital 18.2%), The Pack (NAVF ~10.8%), Teikoku Sen-i (NAVF group 10.1%), Rinnai (Dalton 6.3%), Hi-Lex (Zennor 7.4%), Hodogaya (Ueshima group 14.5%) and Fudo Tetra (Effissimo ~29%). Here the question is whether a second, more demanding voice can tip a vote the incumbent cannot win alone.
- **The most common fixes are mechanical and board-actionable:** cancel treasury stock (Canon ~34%, Seiko Epson 14%, Fudo Tetra, Enplas, The Pack); sell cross-shareholdings (Yamaha, Rinnai, T. Hasegawa, The Pack); return surplus cash (Rinnai, NC, Teikoku Sen-i, Hi-Lex, Hosokawa, Enplas); and stop or reverse value-destructive M&A (Omron OnLogic, Shibaura Moore Nanotech, Autobacs dealerships, Seiko Epson Fiery, NAVER Poshmark/Dunamu).
- **Typical defence:** "We already have a mid-term plan." Nearly every company has published a cost-of-capital or Value-up plan since 2023, and most of those plans set ROE targets at or barely above the cost of equity for 2028–30. The activist argument is that those plans accept several more years of under-earning.

Summary screen — all 20 names (ranked by activist opportunity)

#	Company	Ticker	Mkt cap US$bn	3y TSR vs index	5y TSR vs index	EV/EBIT	P/E	ND/ EBITDA	Largest holder	Support	Primary angle
1	**Omron**	6645 JP	7.9bn	−80pp	−150pp	17.7x	36.0x	0.5x	21.5%*	5/5	Portfolio simplification
2	**Daikin**	6367 JP	36.9bn	−81pp	−119pp	14.3x	21.2x	0.4x	18.4%*	5/5	Portfolio / margin (co-invest)
3	**Dentsu**	4324 JP	5.9bn	−94pp	−113pp	6.4x	n.m.	0.4x	11.6%*	4/5	Portfolio separation (Japan vs International)
4	**NAVER**	035420 KS	21.5bn	−135pp	−145pp	11.5x	14.4x	Net cash	9.3% (NPS)	4/5	Capital allocation / holdco unlock
5	**Yamaha**	7951 JP	3.5bn	−89pp	−158pp	12.2x	17.4x	Net cash	22.3%*	4/5	Capital allocation / margin
6	**Canon**	7751 JP	25.3bn	−43pp	−15pp	9.4x	11.5x	0.7x	17.6%*	4/5	Governance / treasury cancellation
7	**Shibaura Machine**	6104 JP	0.7bn	−42pp	+6pp	30.6x	n.m.	Net cash	10.7% (Oasis)	4/5	Governance / M&A discipline
8	**KH Neochem**	4189 JP	0.7bn	−5pp	−70pp	9.7x	12.6x	0.5x	18.2% (Strategic Capital)	5/5	Portfolio simplification / sale
9	**Seiko Epson**	6724 JP	6.7bn	−29pp	−43pp	11.7x	42.7x	Net cash	23.1%*	4/5	Portfolio / SOTP (crystal & FA)
10	**Rinnai**	5947 JP	3.0bn	−49pp	−112pp	6.0x	12.9x	Net cash	13.5% (Naito K.K.)	3/5	Excess cash / capital allocation
11	**Autobacs Seven**	9832 JP	0.8bn	−68pp	−88pp	11.2x	16.2x	1.1x	11.1%*	4/5	Capital allocation / portfolio
12	**NC Corp**	036570 KS	3.0bn	−137pp	−156pp	9.0x	6.5x	Net cash	12.4% (founder group)	3/5	Excess cash / M&A discipline
13	**T. Hasegawa**	4958 JP	0.9bn	−66pp	−72pp	11.4x	17.6x	Net cash	16.3% (family co.)	3/5	Valuation gap / strategic review
14	**Enplas**	6961 JP	0.6bn	−71pp	+165pp	9.4x	13.1x	Net cash	15.5% (CEO)	3/5	Capital allocation / poison pill

#	Company	Ticker	Mkt cap US$bn	3y TSR vs index	5y TSR vs index	EV/EBIT	P/E	ND/ EBITDA	Largest holder	Support	Primary angle
15	**Hi-Lex**	7279 JP	0.5bn	−10pp	−73pp	5.9x	n.m.	Net cash	28.7% (family)	2/5	Excess capital / margin
16	**Hosokawa Micron**	6277 JP	0.6bn	−9pp	+16pp	15.3x	38.6x	Net cash	11.9%*	4/5	Excess cash / restructuring
17	**Teikoku Sen-i**	3302 JP	0.5bn	−9pp	−46pp	9.1x	15.9x	Net cash	10.1% (NAVF grp)	3/5	Balance sheet / cross-holdings
18	**The Pack**	3950 JP	0.5bn	−29pp	−37pp	7.9x	14.1x	Net cash	11.3% (Morita Fdn.)	3/5	Capital allocation / cross-holdings
19	**Hodogaya**	4112 JP	0.2bn	−34pp	−119pp	7.2x	9.5x	Net cash	14.5% (Ueshima grp)	3/5	SOTP / SFC listing
20	**Fudo Tetra**	1813 JP	0.3bn	−25pp	−23pp	6.4x	9.4x	Net cash	~29% (Effissimo)	4/5	Portfolio / governance (with Effissimo)

3y/5y TSR vs index = company TSR minus TOPIX TR (Japan) or KOSPI TR (Korea), percentage points. EV/EBIT and P/E LTM; n.m. = negative or >200x. Largest holder: * = trust-bank nominee account (Master Trust/Custody Bank of Japan), not a strategic holder; the largest strategic/insider holder is smaller. Support = ease of building shareholder support (1–5, see Section 2).

Tiering

- **Tier 1 (lead campaigns):** Omron, Dentsu, Daikin, NAVER, Yamaha, Canon, Shibaura Machine, KH Neochem. These are large, liquid names (Shibaura and KH Neochem are smaller but activist-ready) where a public campaign has a clear SOTP or capital-return narrative and a register that can be moved.
- **Tier 2 (engagement plus selective escalation):** Seiko Epson, Rinnai, Autobacs, NC Corp, T. Hasegawa, Enplas, Hi-Lex. The value gap is clear, but family or stable blocs of 20–35%, or a recent board response, make private engagement first and a vote second the right sequence.
- **Tier 3 (small-cap, catalyst-driven):** Hosokawa Micron, Teikoku Sen-i, The Pack, Hodogaya, Fudo Tetra. Market caps are in the US$0.2–0.6bn range, best run as co-investments alongside the existing activist or as event plays (Hodogaya's SFC IPO, a Fudo Tetra self-tender for Effissimo's stake, Hosokawa's cyclical recovery).

2. Scope, method and screen criteria

Criterion	Threshold applied	Notes
Business quality	Structurally sound franchise: niche/global leadership, positive through-cycle EBIT, cash generative	Excludes value traps the analyst log already rejected (e.g. Nissan, Mitsubishi Motors, Corona, Nakayama Steel)
TSR underperformance	3- and/or 5-year TSR below both the home index (TOPIX / KOSPI, incl. dividends) and a listed sector peer basket	Primary qualifying test; 1-year shown for context
Balance-sheet capacity	Net debt / LTM EBITDA < 1.0x, or net cash (S&P Capital IQ, latest quarter)	Applied strictly; net debt includes lease liabilities where S&P reports them
Ownership	No single holder or concert group > 40%	Removes most Korean chaebol holdcos and Japanese listed subsidiaries
Fixability	Identifiable, board-actionable remedies: excess cash, cross-shareholdings, non-core or subscale units, undisciplined M&A, overhead, weak board	Excludes names where the problem is the end-market, not management

Screening funnel

- **149 research reports covering ~157 companies → 24 first-pass candidates.** Removed: names the analyst log already rejected as value traps or structurally challenged (Nissan, Mitsubishi Motors, Corona, Nakayama Steel, Gumi, Kisco); Korean chaebol holdcos and listed subsidiaries; and businesses with no identifiable fix.
- **Leverage screen (S&P Capital IQ, latest quarter):** removed KYB (1.8x), Coway (1.9x), Solum (3.5x), Kolmar Holdings (2.7x), Sumitomo Chemical (2.6x), Mitsubishi Chemical (3.6x), DIC (2.7x), Park24 (1.7x), Daio Paper (4.3x), Hokuetsu (4.3x), Japan Airport Terminal (1.5x), JR West (3.7x) and Sotetsu.
- **Ownership screen:** removed Obara Group (founding family ~45.6% excluding treasury), SK Kaken (Fujii family ~41%) and Toei Animation (Toei 34.3% + TV Asahi 20%), plus the chaebol and parent-controlled Korean names (CJ, SK Chemicals, Doosan Bobcat, KT Alpha, Taekwang, KCC and others).
- **TSR screen (3y or 5y TSR below both index and peer median):** removed Horiba, Tsurumi, Sakai Chemical, Katakura, Ebara Jitsugyo, Toyo Tire, Kamigumi, Meisei, Matsumoto Yushi, Optex and others that have outperformed. Enplas qualifies on the 3-year test (+11% vs TOPIX +82% and peers +261%) despite a strong 5-year record. TS Tech and Kumho Petrochemical fail only because their peer groups collapsed even further; they are kept as near-misses in Appendix A.
- **Back-fill from the wider workbook universe:** Dentsu, Teikoku Sen-i, Hodogaya and Fudo Tetra passed all four screens and were added. Wacom (beats its weak peer basket), SK Kaken (family ~41%), Xebio (marginal against retail peers) and Toyo Tire (outperformed) were tested and rejected. Canon passes the 3-year peer leg by less than 1pp, which is marginal and flagged.

Data and methodology

- **Universe.** The 149 research reports in the attached workbook (summary sheet plus the 'Conviction 10' list) cover about 120 unique Japanese and 37 Korean companies. Every name was screened. Analyst ratings in the workbook (Buy / Avoid / On hold) were used as an input, not a filter: several 'Avoid' names (e.g. Daikin, Canon, Autobacs) are rated Avoid precisely because management is mis-allocating capital, and that makes them activist targets rather than long-only buys.
- **Financials.** S&P Capital IQ, LTM to 30 June 2026 (Hi-Lex to 31 July 2026); balance sheet at the latest reported quarter. Market capitalisation comes from ProntoNLP/S&P (local currency), cross-checked against the workbook's share prices. EV = market cap + net debt (minorities ignored). FCF = cash from operations − capex.
- **TSR.** Price data from ProntoNLP. Its pre-2025 history is already dividend-adjusted (verified against dividend-per-share data), so TSR = adjusted price change plus dividends ex-dated after mid-February 2025, with no double counting (±2pp). JPY prices are reconstructed where only a USD ADR/OTC line exists, and unadjusted splits (e.g. Tsurumi 2:1) are corrected. Index TSR uses the workbook's TOPIX/KOSPI levels for T0 and T−1y, approximate levels for T−3y/T−5y and a simple dividend add-on. Sector = median TSR of a 3–5 company listed peer basket (domestic peers where they exist; foreign peers in their own currency).
- **Ownership and governance.** Latest annual securities reports, AGM notices, TSE corporate-governance reports, DART filings and press coverage, as of October 2026. Japanese registers show trust-bank nominee accounts (Master Trust Bank of Japan, Custody Bank of Japan); these are mostly passive and active institutional money, not strategic holders.
- **Indicative only.** Figures are accurate enough to rank and prioritise, not to underwrite. Refresh from Bloomberg / FactSet / Capital IQ and a full register analysis before committing capital or approaching a company. Company 'defences' are our inference of the likely board response, not quotations.

Benchmark returns used (TSR incl. dividends, to mid-October 2026)

Benchmark	1-year	3-year	5-year
TOPIX (TR, approx.)	+28%	+82%	+109%
KOSPI (TR, approx.)	+53%	+132%	+92%

"Ease of support" scale

Score	Meaning
5	Fully institutional register, no blocking stake, foreign ownership >35%, poor AGM approval history — a well-argued public letter alone can move the board
4	Institutional register with modest strategic/stable holders (<20%); proxy advisers likely to support
3	Meaningful family/strategic bloc (20–35%) or activist already present; outcome depends on persuading domestic institutions
2	Large insider/strategic bloc close to 35–40% plus loyal stable holders; mainly private engagement or a bid-led catalyst
1	Effectively blocked — not used in this list

3. Why now: the regulatory set-up

Japan

- **The TSE has made capital efficiency a listing-standard issue.** Since the March 2023 request that Prime and Standard companies "manage with an awareness of cost of capital and share price", sub-1x P/B boards have had to publish improvement plans. That gives an activist a ready-made public benchmark: the company's own disclosure.
- **Cross-shareholdings are unwinding, which removes the traditional management shield.** Banks, insurers and trading partners are selling policy holdings under pressure from the FSA and their own investors. Every sale shrinks the stable-shareholder bloc that once guaranteed AGM outcomes.
- **Proxy-season votes now bite.** Record numbers of shareholder proposals, falling approval rates for long-tenured presidents and chairs, and domestic asset managers voting against management have made a credible 20–30% "against" vote a realistic tool for a 3–5% holder.
- **The M&A code has changed.** METI's 2023 Takeover Guidelines oblige boards to consider bona fide offers seriously, so poison pills and "stable shareholder" arguments carry far less weight than before. Unsolicited bids, MBOs and PE take-privates are now routine.

Korea

- **Korea's "Corporate Value-up" programme and Commercial Act reform have moved the goalposts.** The 2025 amendments extended directors' fiduciary duty to shareholders, strengthened separately elected audit-committee seats and mandated cumulative voting at large listed companies. Treasury-share cancellation has moved toward a legal requirement rather than a courtesy.
- **The "Korea discount" is a governance discount, not a business-quality discount.** The two Korean names here (NAVER, NC Corp) are not chaebol-controlled: no holder exceeds 13%, and the National Pension Service and foreign institutions are the swing votes.
- **KOSPI has re-rated sharply**, roughly +50% over the year to October 2026 on the workbook's levels. Names that have not joined the rally are, by construction, the ones where governance and capital allocation are holding the multiple back.

4. Company dossiers

Shading: red TSR = below both sector and index; green/amber valuation = cheaper/dearer than peer median; amber margin = below peer median. n.m. = not meaningful (negative, distorted by one-offs, or >200x).

1. OMRON Corporation (6645 JP)

Industrial automation, healthcare devices, social systems · Mkt cap US$7.9bn (¥1,244bn) · Net debt ¥55bn · Workbook view: Buy (7/1/2026)

Thesis in one line: A world-class automation and healthcare franchise run as a conglomerate. ROIC is below the cost of capital, there are no buybacks, and the CEO just won only about 67% support.

Activist opportunity 9/10 · Ease of support 5/5 · Primary angle: Portfolio simplification

TSR (local, incl. divs)	Company	Sector peers	TOPIX TR	Valuation & profitability (LTM)	Company	Peer median	vs peers
1-year	**+47%**	+29%	+28%	**EV / Sales**	**1.6x**	2.2x	−28%
3-year	**+2%**	+46%	+82%	**EV / EBIT**	**17.7x**	24.2x	−27%
5-year	**−41%**	+40%	+109%	**P / E**	**36.0x**	30.5x	+18%
Net cash / mkt cap	–			**FCF yield**	**4.3%**	4.2%	+3%
Inv. securities / mkt cap	1%			**EBIT margin**	**9.0%**	15.7%	−7pp
ROE (LTM)	4.1%			**EBITDA margin**	**13.1%**	18.0%	−5pp
P / Book	1.49x			**Net debt / EBITDA**	**0.5x**	Net cash	–

#	Top 5 shareholders	%	Type / comment
1	The Master Trust Bank of Japan, Ltd. (trust account)	21.5%	custodian
2	Custody Bank of Japan, Ltd. (trust account)	10.3%	custodian
3	The Bank of Kyoto, Ltd.	3.6%	Kyoto-based regional bank
4	State Street Bank and Trust Company 505103	2.5%	foreign custodian
5	Moxley and Co LLC	2.3%	foreign custodian (JPMorgan nominee)

What an activist would say

- **Shareholders have already voted.** At the June 2026 AGM, CEO Tsujinaga received about 67% support and the non-independent chair Yamada about 73% (EDINET-sourced aggregators). That follows a 5-year TSR of −41%, against +109% for TOPIX and +40% for automation peers. The company itself concedes ROIC and ROE are below its cost of capital.
- **Capital goes to M&A at full prices, not to owners.** Omron spent about ¥195bn to build a 54% stake in JMDC, creating a parent–subsidiary listing. On 13 October 2026 it agreed a US$675m purchase of OnLogic at about 4.4x sales. Meanwhile the payout is DOE-only, there has been no buyback, and the 2030 roadmap sends about 80% of ¥1.05tn of cash inflow to "business investment".
- **Sum-of-the-parts value is buried.** Omron Healthcare is the global No.1 in home blood-pressure monitors and would trade as a med-tech asset on its own. JMDC is separately listed. Social Systems is subscale. The Device & Module Solutions sale to Carlyle (EV ¥81bn, closed October 2026) shows the board can divest; it should finish the job.

Most actionable changes

1. **Strategic review of Healthcare** (spin-off, IPO or sale to a med-tech or PE buyer) **and of Social Systems.** Resolve the JMDC parent–subsidiary listing through a full buy-in or a sell-down.
2. **No further M&A after OnLogic** until Industrial Automation margins recover to ≥15%. Publish an ROIC hurdle and a post-deal review of JMDC, and put the DMB proceeds into a ¥100bn buyback.
3. **Move to a majority-independent board** (3 of 8 today) with an independent chair, and link executive pay to the ROIC–WACC spread.

Ease of building support: 5/5. The register is fully institutional. The largest named strategic holder is Bank of Kyoto at 3.6%, foreign holders exceed 30%, and there is no stable-shareholder bloc. A one-third protest vote against the CEO has already been recorded, and proxy-adviser ROE policies are on the activist's side. Japan Activation Capital (3.9%) signed a "partnership" agreement in July 2025 and the board is considering a three-committee structure. That shows the board will engage, but a collaborative holder has not changed the M&A-first capital allocation, so there is room for a more demanding second voice.

Expected company defence: "Shaping the Future 2nd Stage is a coherent physical-AI strategy. OnLogic and JMDC are strategic edge-computing and data assets. Factory automation is recovering, with FY guidance raised to OP ¥80bn. Healthcare and automation share sensing technology."

Our rebuttal: The synergy case has been made for a decade and the share price has not responded. A buyer of Omron Healthcare would pay for the sensing technology without the automation cycle.

Activist angles: Portfolio simplification · M&A discipline · Governance · Parent–subsidiary listing (JMDC)

2. Daikin Industries (6367 JP)

HVAC, refrigerants & filtration · Mkt cap US$36.9bn (¥5,806bn) · Net debt ¥281bn · Workbook view: Avoid (6/25/2026)

Thesis in one line: The world's largest HVAC company trades at a discount to US peers it out-sells. Elliott has opened the campaign; the open question is whether ¥350bn and FUSION30 are enough.

Activist opportunity 8/10 · Ease of support 5/5 · Primary angle: Portfolio / margin (co-invest)

TSR (local, incl. divs)	Company	Sector peers	TOPIX TR	Valuation & profitability (LTM)	Company	Peer median	vs peers
1-year	**+24%**	+12%	+28%	EV / Sales	**1.2x**	2.8x	−59%
3-year	**+1%**	+133%	+82%	EV / EBIT	**14.3x**	26.0x	−45%
5-year	**−10%**	+135%	+109%	P / E	**21.2x**	25.2x	−16%
Net cash / mkt cap	–			FCF yield	**5.8%**	4.1%	+39%
Inv. securities / mkt cap	4%			EBIT margin	**8.1%**	14.2%	−6pp
ROE (LTM)	9.2%			EBITDA margin	**13.6%**	17.3%	−4pp
P / Book	1.94x			Net debt / EBITDA	**0.4x**	1.7x	–

#	Top 5 shareholders	%	Type / comment
1	The Master Trust Bank of Japan, Ltd. (trust account)	18.4%	custodian
2	Custody Bank of Japan, Ltd. (trust account)	7.3%	custodian
3	State Street Bank and Trust Company 505001	3.8%	foreign custodian
4	Elliott International, L.P.	3.0%	ACTIVIST - Elliott Investment Management (public campaign since…
5	JPMorgan Chase Bank (London) SL Omnibus Account (Chase Manhattan Bank London SL Omnibus)	2.6%	foreign custodian / securities-lending omnibus

What an activist would say

- **Scale leader, laggard returns.** 5-year TSR is −10%, against +109% for TOPIX and +135% for global HVAC peers, who re-rated on data-centre cooling. Daikin's EBIT margin of 8.1% compares with a peer median of 14.2%, and FUSION25 missed both its margin and ROE targets.
- **Over-investment ahead of demand.** Capacity, headcount and fixed cost were built for heat-pump and US growth that did not arrive: US residential is weak on tariffs and housing, and European heat pumps have collapsed. Q1 FY3/27 margin fell 0.8pp despite record sales.
- **Non-core sprawl and a passive balance sheet.** AAF filters, AHT refrigerated display cases (impaired in 2024), Oil Hydraulics and Chemicals dilute the HVAC multiple. Before May 2026 there had been no meaningful buyback for about ten years, and leverage is only 0.4x EBITDA.

Most actionable changes

1. **Divest or separate AAF, AHT and Oil Hydraulics, and review Chemicals.** Focus on HVAC and data-centre cooling, and disclose DC-cooling revenue and backlog.
2. **Turn the one-off ¥350bn ASR into a ~¥1tn multi-year programme**, funded by disposals and balance-sheet capacity, with a total-payout target replacing the dividend-growth policy.
3. **Split chair and CEO** (Togawa has been CEO since 2014) and retire the honorary-chairman role. Deliver the ¥200bn overhead cut with margin-linked pay.

Ease of building support: 5/5. The register is fully institutional, with foreign ownership above 30% and no stable bloc of size (SMBC 2.4%, MUFG 1.3%). Elliott, at about 3% (>US$1bn), has already made the public case. In 2024 only 68.5% approved the ¥4.3bn merit payment to former chairman Inoue, which shows institutions will vote against management. This is a co-investment or second-wave situation, not a first-mover one.

Expected company defence: "FUSION30 already answers the critique: a ¥350bn ASR, 10% and >12% margin targets, ROE of 15% by FY2030, 50% outside directors and a new CFO role. Non-core units give technology adjacencies, and we invest for long-term growth."

Our rebuttal: Even FUSION30's FY2030 margin of >12% leaves Daikin below where US peers are today. The plan accepts four more years of under-earning, and Elliott's ¥1tn ask remains open.

Activist angles: Portfolio simplification · Capital allocation · Cost / overhead · Governance (chair/CEO split)

3. Dentsu Group (4324 JP)

Advertising, media & marketing services · Mkt cap US$5.9bn (¥931bn) · Net debt ¥84bn · Workbook view: Buy (10/3/2025)

Thesis in one line: Japan's dominant agency is buried under a failed global roll-up. The sale of the international business collapsed in January 2026, and the stock trades at 6.4x EV/EBIT against 10.3x for peers.

Activist opportunity 8/10 · Ease of support 4/5 · Primary angle: Portfolio separation (Japan vs International)

Balance-sheet caveat: group ND/EBITDA of 0.36x passes, but the parent had negative net worth (−¥55.7bn) at end-2025 with a going-concern "events or conditions" note. No payouts are possible until reserves are rebuilt; the case is separation, not payout.

TSR (local, incl. divs)	Company	Sector peers	TOPIX TR	Valuation & profitability (LTM)	Company	Peer median	vs peers
1-year	**+19%**	+12%	+28%	**EV / Sales**	**0.7x**	1.0x	−30%
3-year	**−12%**	+15%	+82%	**EV / EBIT**	**6.4x**	10.3x	−38%
5-year	**−4%**	+1%	+109%	**P / E**	**n.m.**	28.7x	–
Net cash / mkt cap	–			**FCF yield**	**16.0%**	12.4%	+29%
Inv. securities / mkt cap	26%			**EBIT margin**	**10.8%**	9.8%	+1pp
ROE (LTM)	−48.9%			**EBITDA margin**	**15.8%**	12.2%	+4pp
P / Book	2.19x			**Net debt / EBITDA**	**0.4x**	1.7x	–

#	Top 5 shareholders	%	Type / comment
1	The Master Trust Bank of Japan, Ltd. (trust a/c)	11.6%	custodian
2	Kyodo News	7.3%	strategic/stable holder
3	Jiji Press, Ltd.	6.1%	strategic/stable holder
4	Northern Trust Co. (AVFC) re Silchester International Investors International Value Equity Trust	4.2%	Silchester (London long-only value manager)
5	Custody Bank of Japan, Ltd. (trust a/c)	3.5%	custodian

What an activist would say

- **A crown jewel hidden by a decade of write-offs.** About ¥691bn of impairments over FY23–25 and cumulative net losses of about ¥522bn over FY20–25 trace back to the 2013 Aegis acquisition and subsequent bolt-ons. 3-year TSR is −12%, against +82% for TOPIX and +15% for global agency peers. The dividend has been cut to zero for FY25–26 because parent-company distributable reserves are negative.
- **The exit failed; the strategy did not change.** Bankers were hired in August 2025 to explore "strategic partnerships" for the international network. Press reports say bidders including Apollo and Bain had walked away by January 2026, when the shares fell 11%. Management has reverted to a standalone turnaround with piecemeal disposals, and the 16% margin target has been deferred to FY28.
- **Cheap on the numbers that matter.** EV/EBIT is 6.4x against 10.3x for peers, and the FCF yield is 16.0%. Dentsu Japan, the listed stakes in Septeni and Dentsu Soken, ¥50.9bn of cross-shareholdings and real estate (the Ginza building sale shows these assets can be monetised) arguably support most of the EV on their own.

Most actionable changes

1. **Ring-fence International.** No new capital; separate reporting of Japan and International ROIC; time-bound sales of CXM, media and creative units rather than waiting for a single buyer.
2. **Monetise non-core assets** (Septeni and Dentsu Soken stakes, cross-shareholdings, real estate) and use the proceeds to rebuild parent distributable reserves so the dividend can resume.
3. **Run a parallel whole-company take-private or MBO test.** The workbook flags MBO potential, and a formal process sets a fair-value floor for minorities if the separation stalls again.

Ease of building support: 4/5. No holder above 12%. The friendly bloc (Kyodo News 7.3%, Jiji Press 6.1%, the employee plan, the Yoshida foundation) is about 17%. Silchester (4.2%) and Nomura AM (7.7%) are value holders, and foreign ownership is 36%. With a 73%-independent board, an independent chair and a CEO in post only since March 2026, a separation plan should land as help, not hostility.

Expected company defence: "A new CEO is in place, 3,400 job cuts are ~88% done, and we have sold the Ginza building and part of CARTA. We target a 16% margin by FY28. Selling International at the bottom would destroy value."

Our rebuttal: Every deferral since 2019 has cost shareholders. Without a time-bound separation the market will keep valuing Dentsu Japan through International's losses.

Activist angles: Portfolio separation · Non-core asset monetisation · M&A discipline (Aegis legacy) · MBO / take-private option

4. NAVER Corporation (035420 KS)

Internet search, commerce, fintech, content · Mkt cap US$21.5bn (KRW 29.17tn) · Net cash KRW 3.36tn · Workbook view: Buy (8/12/2026)

Thesis in one line: Korea's dominant search, commerce and payments platform sits on about KRW3.4tn of net cash and a multi-trillion LY stake. It is discounted because a founder-chair with ~4% keeps doing control-preserving deals.

Activist opportunity 8/10 · Ease of support 4/5 · Primary angle: Capital allocation / holdco unlock

TSR (local, incl. divs)	Company	Sector peers	KOSPI TR	Valuation & profitability (LTM)	Company	Peer median	vs peers
1-year	**−30%**	+18%	+53%	**EV / Sales**	**2.0x**	2.2x	−10%
3-year	**−3%**	+37%	+132%	**EV / EBIT**	**11.5x**	15.3x	−25%
5-year	**−53%**	−19%	+92%	**P / E**	**14.4x**	17.5x	−18%
Net cash / mkt cap	12%			**FCF yield**	**5.0%**	2.8%	+82%
Inv. securities / mkt cap	78%			**EBIT margin**	**17.3%**	14.4%	+3pp
ROE (LTM)	6.9%			**EBITDA margin**	**23.3%**	23.1%	+0pp
P / Book	0.99x			**Net debt / EBITDA**	**Net cash**	Net cash	–

#	Top 5 shareholders	%	Type / comment
1	National Pension Service (NPS)	9.2%	Largest shareholder per DART
2	BlackRock Fund Advisors & affiliates	7.1%	Passive/index (filing Aug-2026)
3	Lee Hae-jin (founder, board chair)	3.9%	Founder
4	Treasury shares (post Aug-2026 cancellation)	n.a.	Est. ~1.5% retained for stock compensation (unverified)
5	Foreign investors (aggregate)	35.3%	Aggregate foreign ownership, not a single holder

What an activist would say

- **Korea's best internet asset missed the KOSPI re-rating.** 1-year TSR is −30% against +53% for KOSPI; over 5 years it is −53% against +92%. The stock fell 7.5% on Q2-26 results, which were weighed down by AI-infrastructure costs, while the index was up about 50% in 2026.
- **Capital allocation is the discount.** About KRW2.3tn went into loss-making Poshmark and Wattpad, and 2025 brought KRW424bn of intangible impairments. Management calls 2026 the "peak" year for AI capex. The all-stock Dunamu deal cuts Naver's economic interest in Naver Financial to about 17% while keeping control through voting proxies.
- **Hidden value sits idle.** Naver owns 50% of A Holdings (about 63% of LY Corp) and 60% of Webtoon (Nasdaq). Net cash equals 12% of market cap, yet the payout policy returns just 25–35% of FCF.

Most actionable changes

1. **Monetise A Holdings/LY** through a negotiated sale to SoftBank or a staged sell-down, return most of the proceeds, and publish a holdco-discount target.
2. **Put the Dunamu share swap to a majority-of-minority vote** with an independent fairness opinion, and exit Poshmark.
3. **Raise the payout to ≥50% of FCF, with all repurchased shares cancelled.** Add an independent chair and a capital-allocation committee that applies an ROIC hurdle to AI capex.

Ease of building support: 4/5. No controlling holder: NPS 9.3%, BlackRock 7.1%, founder Lee Hae-jin 3.9%, with foreign ownership of about 35%. Retail anger was visible at the 2026 AGM. The friendly partnership cross-holdings (Mirae, CJ, Shinsegae) total only a few percent. The 2025 Commercial Act changes (directors' duty to shareholders, mandatory cumulative voting) strengthen an activist who can win NPS.

Expected company defence: "Sovereign AI requires scale investment now. Dunamu creates Korea's leading fintech and digital-asset platform. LY is a strategic Asian partnership. We retired about KRW1tn of shares in August 2026."

Our rebuttal: One cancellation does not make a policy. The Dunamu structure gives up economics to preserve control, which is the core of the Korea discount the Value-up programme is meant to end.

Activist angles: Capital allocation · Holdco / stake monetisation (LY, Webtoon) · M&A discipline (Poshmark, Dunamu) · Governance (founder-chair)

5. Yamaha Corporation (7951 JP)

Musical instruments & audio equipment · Mkt cap US$3.5bn (¥556bn) · Net cash ¥103bn · Workbook view: Buy (6/9/2026)

Thesis in one line: The world's No.1 musical-instrument brand earns a 6.9% core margin against its own 13.5% target. Its chair is non-independent and its register can be moved.

Activist opportunity 8/10 · Ease of support 4/5 · Primary angle: Capital allocation / margin

TSR (local, incl. divs)	Company	Sector peers	TOPIX TR	Valuation & profitability (LTM)	Company	Peer median	vs peers
1-year	**+25%**	+13%	+28%	**EV / Sales**	**0.9x**	1.4x	−30%
3-year	**−8%**	−1%	+82%	**EV / EBIT**	**12.2x**	16.6x	−27%
5-year	**−49%**	−1%	+109%	**P / E**	**17.4x**	26.0x	−33%
Net cash / mkt cap	19%			**FCF yield**	**7.8%**	4.8%	+61%
Inv. securities / mkt cap	10%			**EBIT margin**	**7.8%**	10.0%	−2pp
ROE (LTM)	6.5%			**EBITDA margin**	**11.1%**	14.3%	−3pp
P / Book	1.13x			**Net debt / EBITDA**	**Net cash**	0.0x	–

#	Top 5 shareholders	%	Type / comment
1	The Master Trust Bank of Japan, Ltd. (trust a/c)	22.3%	custodian
2	Custody Bank of Japan, Ltd. (trust a/c)	8.5%	custodian
3	Sumitomo Life Insurance Company	5.0%	policy/stable holder (insurer)
4	The Shizuoka Bank, Ltd.	4.9%	regional bank, policy holder
5	Nippon Life Insurance Company	3.4%	policy/stable holder (insurer)

What an activist would say

- **A global franchise priced like a broken one.** Yamaha leads globally in acoustic and digital pianos, wind instruments and pro-audio mixers. Yet 5-year TSR is −49%, against +109% for TOPIX and −1% for the peer basket. ROE was 5.1% in FY3/26, below the cost of equity and half the 10% "Rebuild & Evolve" target, one year into a three-year plan.
- **Margin, not demand, is the problem.** Core operating margin is 6.9% against a 13.5% plan target and a peer median EBIT margin of 10.0%. ¥14.3bn of FY3/25 restructuring, including impairments on China and Indonesia piano plants, shows capacity was built for a Chinese boom that never came back. The golf exit (Feb 2026) proves the board will prune; it needs to go much further.
- **The balance sheet is still asleep.** Net cash of ¥103bn is 19% of market cap. Listed cross-holdings are still 8.6% of net assets: the residual Yamaha Motor stake, Shizuoka FG and the megabanks. Two Yamaha Motor block sales funded buybacks. The rest of the stakes plus surplus cash could retire roughly another 10% of the share count.

Most actionable changes

1. **¥100bn+ buyback or tender over FY3/27–28.** Fund it from net cash and a full exit of the remaining cross-holdings (Yamaha Motor, banks, Shizuoka FG) by FY3/28, and cancel all treasury stock.
2. **Sell or separate the non-music Industrial Machinery & Components unit** (FA robots, automotive sound, Yamaha Fine Tech). Consolidate piano manufacturing into one low-cost footprint and publish segment ROIC.
3. **Appoint an independent chair** in place of the former CEO, Nakata. Re-base LTIP vesting on the plan's ROE ≥10% and 13.5% margin targets rather than revenue.

Ease of building support: 4/5. Trust-bank nominee accounts hold about 31%. Stable insurers and banks hold about 16.5% (Sumitomo Life 5.0%, Shizuoka Bank 4.9%, Nippon Life 3.4%, Yamaha Motor 3.2%), and that bloc shrinks with every cross-holding sale. Foreign ownership is about 30%. The board is already 75% independent under a three-committee structure, which helps: the argument goes to independent directors who signed off on a plan that is already off track. No activist is on the register, so there is a first-mover advantage.

Expected company defence: "Rebuild & Evolve is only in year one. FY3/27 guidance is core OP +19%. We have sold Yamaha Motor shares twice, cancelled 68m shares and delivered a 112% total return ratio in FY3/26. Tariffs and China demand are outside our control."

Our rebuttal: Year one missed on revenue, ROE and margin. Reaching 13.5% means doubling the margin, and the company has shown no bridge to get there. Capital returns have come from selling other companies' shares, not from fixing the core.

Activist angles: Capital allocation · Portfolio simplification · Margin / overhead · Governance (chair independence)

6. Canon Inc. (7751 JP)

Office printing, imaging, medical, industrial equipment · Mkt cap US$25.3bn (¥4,005bn) · Net debt ¥526bn · Workbook view: Avoid (4/23/2026)

Thesis in one line: A roughly 90-year-old chairman-CEO, about 34% of issued shares held uncancelled in treasury, and a ¥665bn medical acquisition already written down by ¥165bn.

Activist opportunity 8/10 · Ease of support 4/5 · Primary angle: Governance / treasury cancellation

TSR (local, incl. divs)	Company	Sector peers	TOPIX TR	Valuation & profitability (LTM)	Company	Peer median	vs peers
1-year	+10%	+23%	+28%	EV / Sales	1.0x	1.0x	−3%
3-year	+39%	+40%	+82%	EV / EBIT	9.4x	10.5x	−11%
5-year	+94%	+51%	+109%	P / E	11.5x	11.2x	+3%
Net cash / mkt cap	–			FCF yield	6.4%	10.0%	−36%
Inv. securities / mkt cap	24%			EBIT margin	10.2%	5.0%	+5pp
ROE (LTM)	10.0%			EBITDA margin	15.4%	10.5%	+5pp
P / Book	1.15x			Net debt / EBITDA	0.7x	1.9x	–

#	Top 5 shareholders	%	Type / comment
1	The Master Trust Bank of Japan, Ltd. (trust account)	17.6%	custodian
2	Custody Bank of Japan, Ltd. (trust account)	6.2%	custodian
3	Mizuho Bank, Ltd.	2.6%	main bank / policy holder
4	State Street Bank and Trust Company 505001	1.4%	foreign custodian
5	The Dai-ichi Life Insurance Company, Limited	1.4%	insurer / policy holder

What an activist would say

- **Governance is the discount.** Fujio Mitarai, about 90, is still Chairman & CEO. He survived the 2023 AGM with only 50.6% and handed over only partially when a President & COO was named in March 2026. The board is 45% independent under a kansayaku structure. 3-year TSR is +39%, against +82% for TOPIX and +40% for imaging and office-equipment peers.
- **Buybacks without cancellation are a control mechanism, not a return.** Canon buys back ¥100–200bn a year, yet about 34% of issued shares sit in treasury and management has said it is "not considering cancellation". That stock can be reissued, and the Phase VII plan earmarks up to ¥2tn for strategic M&A.
- **Medical is a value sink.** Canon Medical (ex-Toshiba Medical, about ¥665bn in 2016) took a ¥165bn goodwill impairment in FY2024. The mature printing franchise is a cash cow funding diversification, and Canon Marketing Japan is still a listed subsidiary.

Most actionable changes

1. **Cancel the treasury stock (about 34% of issued) and every future repurchase.** Replace the ¥2tn M&A envelope with an explicit total-return policy.
2. **Strategic review of Canon Medical** (partnership, IPO or sale to a healthcare strategic or PE buyer), and collapse the Canon Marketing Japan listing as was done with Canon Electronics.
3. **Complete CEO succession with an independent chair.** Move to an audit-committee or three-committee structure with a majority of independent directors.

Ease of building support: 4/5. The register is fully institutional: Master Trust 17.6%, Custody Bank 6.2%, Mizuho 2.6%, Dai-ichi Life 1.4%, with about 27% foreign. The 2023 vote of 50.6% shows proxy advisers can turn Mitarai's re-election into a live contest. Support recovered to about 89% in 2026 once a COO was named. A campaign built on treasury cancellation and succession should win domestic institutions.

Expected company defence: "Profits are at records, with FY OP guidance raised to ¥465bn. We have a ¥200bn buyback, a progressive dividend, a 15% ROE target for 2030 and we took Canon Electronics private. Medical is turning round, and semiconductor lithography (nanoimprint) is a growth engine."

Our rebuttal: Buying back shares it will not cancel while earmarking ¥2tn for M&A is capital recycling at shareholders' expense. The 34% treasury stake is a latent dilution and defence instrument.

Activist angles: Governance (succession, board structure) · Capital allocation (treasury cancellation) · Portfolio (Canon Medical) · Parent–subsidiary listing

7. Shibaura Machine (6104 JP)

Injection-moulding & die-casting machines, machine tools · Mkt cap US$0.7bn (¥113bn) · Net cash ¥28bn · Workbook view: Buy (9/2/2026)

Thesis in one line: A franchise-quality moulding-machine maker with an ROE of 0.9%, two value-destructive acquisitions in six months and late results. Oasis (10.7%) is already alleging "serious governance defects".

Activist opportunity 8/10 · Ease of support 4/5 · Primary angle: Governance / M&A discipline

TSR (local, incl. divs)	Company	Sector peers	TOPIX TR	Valuation & profitability (LTM)	Company	Peer median	vs peers
1-year	**+23%**	+19%	+28%	**EV / Sales**	**0.7x**	1.3x	−45%
3-year	**+40%**	+112%	+82%	**EV / EBIT**	**30.6x**	18.8x	+62%
5-year	**+116%**	+125%	+109%	**P / E**	**n.m.**	18.1x	–
Net cash / mkt cap	25%			**FCF yield**	**−9.9%**	2.0%	–
Inv. securities / mkt cap	12%			**EBIT margin**	**2.3%**	8.6%	−6pp
ROE (LTM)	0.1%			**EBITDA margin**	**5.1%**	12.3%	−7pp
P / Book	0.96x			**Net debt / EBITDA**	**Net cash**	Net cash	–

#	Top 5 shareholders	%	Type / comment
1	Master Trust Bank of Japan (trust a/c)	16.6%	3,919k sh
2	Oasis Management Company Ltd. (Cayman)	10.7%	% of voting rights as of 2026-09-24 (company notice of…
3	Custody Bank of Japan (trust a/c)	8.9%	2,114k sh (up from 5.02% at 2025-09-30)
4	Nomura Securities	4.3%	1,026k sh
5	Shizuoka Bank (policy holder)	2.5%	596k sh

What an activist would say

- **Collapsing returns, abandoned plan.** FY3/26 net income fell 92% and ROE was 0.9%. The Chukei-2026 targets (revenue ¥200bn, 10% margin, ROE ≥9.5%) were cut to ¥137bn of revenue under "emergency measures", and an H1 net loss is guided. 3-year TSR is +40%, against TOPIX at +82% and machinery peers at +112%.
- **Capital allocation is reckless at the bottom of the cycle.** The German LWB acquisition (November 2025) was fully impaired within months. Management then agreed to buy loss-making Moore Nanotechnology for US$150m (about 4x sales). Results were delayed beyond the 50-day norm, which signals internal-control weakness.
- **The board is a legacy of the 2020 anti-activist defence.** The CEO led the defence against Murakami, and outside directors date from 2017–18. Reciprocal policy holdings with customers and banks entrench them, and treasury shares remain uncancelled despite net cash of ¥28bn (25% of market cap).

Most actionable changes

1. **Halt or renegotiate the Moore Nanotech acquisition** and commission an independent review of the LWB write-off and of the delayed reporting.
2. **Refresh the board**: replace defence-era outside directors with machinery and capital-markets expertise, and appoint an independent chair.
3. **Return surplus cash** through a buyback with cancellation, and unwind the reciprocal policy holdings.

Ease of building support: 4/5. No parent, since Toshiba exited in 2017. Oasis holds 10.7% and is publicly engaged, trust banks hold about 26%, and the policy holder Shizuoka Bank is small at 2.5%. In 2020 the defence plan passed with only 62%, so a well-documented governance case can win a majority. Positioning: co-invest alongside Oasis or run a parallel campaign.

Expected company defence: "Emergency measures, including the Shanghai plant closure and the move to Anhui, are fixing costs. Nanotechnology adds ultra-precision growth, the cycle is turning with machine-tool orders up sharply, and we pay a stable ¥140 dividend."

Our rebuttal: A board that impairs an acquisition within months and then commits US$150m more has lost the benefit of the doubt. The cycle will lift earnings anyway, and the issue is what management does with the cash.

Activist angles: Governance (board refresh) · M&A discipline · Capital allocation · Cross-shareholding unwind

8. KH Neochem (4189 JP)

Specialty & oxo chemicals · Mkt cap US$0.7bn (¥116bn) · Net debt ¥9bn · Workbook view: Buy (6/5/2026)

Thesis in one line: A high-margin refrigerant-oil raw-material franchise wrapped in a near-zero-margin commodity oxo business. Strategic Capital, at 18%, is already the largest holder.

Activist opportunity 8/10 · Ease of support 5/5 · Primary angle: Portfolio simplification / sale

TSR (local, incl. divs)	Company	Sector peers	TOPIX TR	Valuation & profitability (LTM)	Company	Peer median	vs peers
1-year	**+32%**	+23%	+28%	**EV / Sales**	**1.1x**	1.0x	+19%
3-year	**+76%**	+62%	+82%	**EV / EBIT**	**9.7x**	14.5x	−33%
5-year	**+39%**	+106%	+109%	**P / E**	**12.6x**	28.0x	−55%
Net cash / mkt cap	–			**FCF yield**	**10.1%**	0.8%	+1111%
Inv. securities / mkt cap	13%			**EBIT margin**	**11.6%**	7.3%	+4pp
ROE (LTM)	12.3%			**EBITDA margin**	**17.4%**	14.7%	+3pp
P / Book	1.55x			**Net debt / EBITDA**	**0.5x**	1.3x	–

#	Top 5 shareholders	%	Type / comment
1	Intertrust Trustees (Cayman) - Japan-Up fund = Strategic Capital vehicle	17.2%	Register 2026-06-30. Strategic Capital 5% filings: 7.85%...
2	Master Trust Bank of Japan (trust a/c)	11.9%	Custodial/nominee.
3	Custody Bank of Japan (trust a/c)	7.6%	Custodial/nominee.
4	Treasury shares	5.4%	After JPY5bn buyback in 2025 (5.4% of issued)
5	Tosoh Corp (strategic/business partner)	5.3%	Company IR page 2026-06-30

What an activist would say

- **One great business, one bad one.** Functional Materials, a global leader in refrigerant-lubricant raw materials that also includes electronic materials, earns about ¥8bn of OP. Basic Chemicals (oxo derivatives) made about ¥0.75bn on ¥34.5bn of nine-month sales. The group trades at 9.7x EV/EBIT against a chemical-peer median of 14.5x.
- **The 15% ROE target will not be met with a commodity tail.** 3-year TSR is +76%, against +82% for TOPIX. The workbook notes that the market prices in China-related risk in the commodity chain, and that risk is masking the specialty franchise.
- **The balance sheet is under-used.** Net debt is only 0.5x EBITDA. ¥5bn of 2025 buybacks sits uncancelled, and a further buyback is only "under consideration".

Most actionable changes

1. **Turn "structural reform including collaboration with other companies" into a sale, JV or carve-out of Basic Chemicals within 12 months.**
2. **Execute a ≥¥15bn buyback (about 10% of market cap)** using spare leverage capacity, and cancel all treasury shares.
3. **Run a formal strategic review that includes a sale of the whole company.** Bain owned it from 2011 to 2016, so a sponsor can underwrite it, and Strategic Capital (18%) plus Tosoh (5%) make a transaction achievable.

Ease of building support: 5/5. There is no parent and no family. This is an ex-PE institutional register, and Strategic Capital, at 18.2%, became the largest holder within five months of crossing 5%. The board has already moved under pressure, raising the payout from 40% to 50% and DOE from ≥4% to ≥5% in August 2026. This is a "join the campaign" situation with a high probability of a capital-return outcome.

Expected company defence: "We have raised the payout to 50% and DOE to 5%, a buyback is under consideration, structural reform of Basic Chemicals is scheduled for 2H26–1H27, and the MTP already targets 15% ROE."

Our rebuttal: Each step has come only after an 18% shareholder arrived. Without a binding timetable for the oxo exit, the specialty franchise will stay mispriced.

Activist angles: Portfolio simplification · Capital allocation · M&A (sale of company) · Balance-sheet optimisation

9. Seiko Epson (6724 JP)

Inkjet printing, projectors, crystal devices, robotics · Mkt cap US$6.7bn (¥1,048bn) · Net cash ¥47bn · Workbook view: Buy (5/29/2026)

Thesis in one line: Inkjet cash flows fund a tail of mature and subscale businesses. Its last large acquisition (Fiery) was impaired within 15 months, and 14% of shares sit in treasury.

Activist opportunity 7/10 · Ease of support 4/5 · Primary angle: Portfolio / SOTP (crystal & FA)

TSR (local, incl. divs)	Company	Sector peers	TOPIX TR	Valuation & profitability (LTM)	Company	Peer median	vs peers
1-year	**+78%**	+17%	+28%	EV / Sales	**0.7x**	0.8x	−11%
3-year	**+53%**	+39%	+82%	EV / EBIT	**11.7x**	9.1x	+29%
5-year	**+66%**	+74%	+109%	P / E	**42.7x**	11.3x	+278%
Net cash / mkt cap	4%			FCF yield	**7.4%**	12.0%	−38%
Inv. securities / mkt cap	0%			EBIT margin	**5.9%**	8.4%	−3pp
ROE (LTM)	2.8%			EBITDA margin	**10.0%**	11.6%	−2pp
P / Book	1.21x			Net debt / EBITDA	**Net cash**	1.0x	–

#	Top 5 shareholders	%	Type / comment
1	The Master Trust Bank of Japan, Ltd. (trust account)	23.1%	custodian (IR page shows 22.86%)
2	Custody Bank of Japan, Ltd. (trust account)	8.8%	custodian (irbank 8.9%)
3	Seiko Group Corporation	3.4%	strategic: Hattori-family-led Seiko group parent
4	Sanko Kigyo Co., Ltd.	2.2%	Hattori family asset-management company (founder Kintaro Hattori…
5	Epson Group Employee Shareholding Association	2.1%	employee ESOP (IR page 2.24%) - friendly holder

What an activist would say

- **ROIC below the cost of capital for a decade.** FY2025 ROIC was about 5.9% against a new ≥8% target. 3-year TSR is +53% and 5-year +66%, against TOPIX at +82% and +109%. The 2026 rally reflects the market starting to see the B2B value; it has not closed the gap.
- **M&A discipline failed in real time.** Epson paid about US$580m for Fiery (print-server software) in December 2024 and wrote off ¥25.9bn of goodwill within about 15 months. Projectors are in secular decline, and watches and PCs (Epson Direct) are subscale.
- **SOTP value is hidden inside a printer company.** Crystal devices (quartz timing for AI servers and autos) and SCARA robots/FA would each command a premium multiple standalone. The group trades at 11.7x EV/EBIT. 14.2% of shares are held in treasury, and only the 2024 and 2026 buybacks have been cancelled.

Most actionable changes

1. **Separate crystal devices** by IPO or carve-out, and exit or license the watch, PC and projector businesses.
2. **Cancel the legacy 14% treasury stock** and double the ¥80bn three-year buyback commitment. Leverage capacity is ample at net cash.
3. **Appoint an independent chair**, replacing the former CEO Ogawa, and make ROIC ≥8% a binding LTIP condition with segment-level disclosure.

Ease of building support: 4/5. Institutional register: trust-bank nominees about 32% and foreign ownership about 23%. The Hattori family, Seiko Group and the employee shareholding association together hold about 9–10%, which is meaningful but not blocking. There is no activist yet. The Fiery write-down and the new ROIC target give a clean, numbers-based campaign narrative.

Expected company defence: "ENGINEERED FUTURE 2035 already makes ROIC the core allocation metric, with an ≥8% target, a ¥80bn buyback commitment and DOE ≥3%. Fiery was hit by US tariffs, which are cyclical. Inkjet innovation needs group-wide R&D scale."

Our rebuttal: The ROIC target arrives only after the impairment. Without portfolio exits, an 8% ROIC requires inkjet to carry the whole group.

Activist angles: Portfolio simplification (SOTP) · M&A discipline · Capital allocation (treasury cancellation) · Governance

10. Rinnai Corporation (5947 JP)

Gas water heaters, cooking & heating appliances · Mkt cap US$3.0bn (¥468bn) · Net cash ¥170bn · Workbook view: On hold (4/23/2026)

Thesis in one line: A high-quality global water-heater franchise holding about ¥170bn of net cash (36% of market cap). Two founder-family members have held the top two jobs for two decades.

Activist opportunity 7/10 · Ease of support 3/5 · Primary angle: Excess cash / capital allocation

TSR (local, incl. divs)	Company	Sector peers	TOPIX TR	Valuation & profitability (LTM)	Company	Peer median	vs peers
1-year	**+1%**	+9%	+28%	**EV / Sales**	**0.6x**	0.7x	−12%
3-year	**+32%**	+55%	+82%	**EV / EBIT**	**6.0x**	16.7x	−64%
5-year	**−3%**	+19%	+109%	**P / E**	**12.9x**	15.9x	−19%
Net cash / mkt cap	36%			**FCF yield**	**7.4%**	5.0%	+48%
Inv. securities / mkt cap	6%			**EBIT margin**	**10.4%**	7.2%	+3pp
ROE (LTM)	8.3%			**EBITDA margin**	**13.5%**	10.3%	+3pp
P / Book	1.07x			**Net debt / EBITDA**	**Net cash**	Net cash	–

#	Top 5 shareholders	%	Type / comment
1	Naito K.K.	13.5%	FOUNDER FAMILY asset company (Naito family
2	The Master Trust Bank of Japan, Ltd. (trust account)	12.0%	custodian
3	Kenji Hayashi	5.3%	FOUNDER FAMILY (Hayashi family)
4	Custody Bank of Japan, Ltd. (trust account)	5.0%	custodian
5	Rinnai Scholarship Foundation	3.0%	company-/family-linked foundation - friendly holder

What an activist would say

- **Quality business, zero-return balance sheet.** Net cash of ¥170bn plus ¥23.5bn of policy shares and Minami-Aoyama land (book value ¥23.1bn) depress ROE to 8.6%. The equity ratio is 67%. 5-year TSR is −3%, against +109% for TOPIX and +19% for housing-equipment peers.
- **Growth capex is going to the weakest markets.** China faces low-price local competition, Korea makes a 3% margin (OP ¥0.9bn on ¥31.9bn of sales), and Latin American bolt-ons are subscale. Meanwhile the US tankless business, the best growth asset, is under-scaled. The previous MTP missed its ROIC target of 19%.
- **The new plan is conservative.** "accelerate 2030" targets only a 10% ROE by FY2030 and a ~40% payout, with up to ¥180bn earmarked for growth investment. No buyback has been announced for FY3/27.

Most actionable changes

1. **¥100bn tender or buyback** (about 20% of market cap) funded by surplus net cash, and sell all ¥23.5bn of policy holdings.
2. **Restructure or exit China and Korea, and redirect capital to the US tankless and Australian businesses.** Publish regional ROIC.
3. **Independent chair and succession plan** for the 21-year family president, plus performance-linked equity pay tied to ROE and TSR.

Ease of building support: 3/5. Founder families and their foundation hold about 23% (Naito K.K. 13.5%, Chairman Hayashi 5.3%, Rinnai Scholarship Foundation 3.0%), rising to about 27% with the ESOP and Zenkyoren. Foreign ownership is 31%. Dalton's 2026 proposals won only 17.1% (performance-linked equity pay) and 7.6%. A capital-return proposal of the right size is more likely to attract domestic institutions than one about pay.

Expected company defence: "We cancelled shares three years running (¥10bn in 2025). accelerate 2030 returns more than ¥140bn over five years and lifts ROE to 10%. Net cash protects us through hydrogen and heat-pump transition investment, and overseas expansion needs capital."

Our rebuttal: Returning ¥140bn over five years against ¥260bn of operating cash flow still adds to the cash pile. An ROE target of 10% by 2030 concedes four more years below the cost of capital.

Activist angles: Capital allocation (excess cash) · Cross-shareholding unwind · Portfolio (China/Korea) · Governance (family succession)

11. Autobacs Seven (9832 JP)

Auto aftermarket retail & services · Mkt cap US$0.8bn (¥127bn) · Net debt ¥23bn · Workbook view: Avoid (6/26/2026)

Thesis in one line: A high-return car-accessory and maintenance franchise whose cash is recycled into roughly 1%-margin dealerships, used cars and micromobility bets. This is the workbook's clearest case of mis-allocation.

Activist opportunity 7/10 · Ease of support 4/5 · Primary angle: Capital allocation / portfolio

Screen exception: net debt/EBITDA is 0.99x at the FY3/26 year-end but 1.08x at June 2026 (S&P Capital IQ). The leverage is real borrowing, not leases, and it is itself a symptom of the M&A programme.

TSR (local, incl. divs)	Company	Sector peers	TOPIX TR	Valuation & profitability (LTM)	Company	Peer median	vs peers
1-year	+1%	+8%	+28%	EV / Sales	0.5x	0.8x	−37%
3-year	+13%	+38%	+82%	EV / EBIT	11.2x	12.1x	−8%
5-year	+21%	+60%	+109%	P / E	16.2x	12.8x	+27%
Net cash / mkt cap	–			FCF yield	−1.9%	−1.6%	–
Inv. securities / mkt cap	n.a.			EBIT margin	4.7%	5.5%	−1pp
ROE (LTM)	5.8%			EBITDA margin	7.4%	8.4%	−1pp
P / Book	0.94x			Net debt / EBITDA	1.1x	3.9x	–

#	Top 5 shareholders	%	Type / comment
1	Master Trust Bank of Japan (trust a/c)	11.1%	Nominee
2	Sumino Holdings	5.4%	Presumed founder (Sumino) family asset-management company…
3	Isami Memorial Foundation for home-care medical assistance	5.1%	Founder-linked foundation (presumed
4	Custody Bank of Japan (trust a/c)	3.8%	Nominee
5	K Holdings	3.5%	Private holding company

What an activist would say

- **The core franchise works; the diversification does not.** The Consumer segment, built by four acquisitions in 2024–25 (Otoron Cars, Togatsu, B-Line, PCT) plus Audi/BMW/BYD dealerships, grew sales 80% to ¥52.8bn but earned only ¥519m (about 1% margin). It now carries ¥7.6bn of the group's ¥8.2bn of goodwill.
- **Shareholders have paid for it.** 5-year TSR is +21%, against +109% for TOPIX and +60% for auto-aftermarket and home-centre peers. Group ROIC is 5.7%, below the cost of capital (company admission). The balance sheet has swung from net cash to net debt of ¥23bn.
- **No buybacks and a fixed ¥60 dividend**, while the May 2026 investment in Electric Mobility Technology (micromobility/EV) and an affiliate book that rose from ¥4.4bn to ¥9.8bn show the pattern continuing.

Most actionable changes

1. **Moratorium on non-core M&A**, and a strategic review (sale or exit) of the dealerships, used-car finance and EMT stake. Focus capital on the core store and maintenance network.
2. **Publish segment ROIC and cost-of-capital targets for every business**, link pay to them, and set a total-return policy (≥70% payout including buybacks) once leverage is back below 0.5x.
3. **Separate the chair from the CEO** (Horii holds both) and add an outside director with retail capital-allocation experience.

Ease of building support: 4/5. Fragmented register: trust banks about 15% and Sumino founder-linked holders about 12–18%. A large retail base attracted by shareholder perks votes with management, and foreign ownership is only about 13%. There is no activist yet. The case is simple to explain, and the next mid-term plan (due 2027) is a natural catalyst for a campaign.

Expected company defence: "The consumer and dealership businesses diversify us away from a shrinking accessory market, and EV/micromobility is the future of car ownership. The ¥60 dividend gives a ~56% payout, and ROIC is in line with plan."

Our rebuttal: Diversifying into 1%-margin businesses is not a strategy. A ROIC that is "in line with plan" is still below the cost of capital, so the plan is the problem.

Activist angles: Capital allocation · M&A discipline · Portfolio simplification · Governance (chair/CEO)

12. NC Corp (formerly NCSoft) (036570 KS)

Online & mobile games · Mkt cap US$3.0bn (KRW 4.03tn) · Net cash KRW 1.49tn · Workbook view: Buy (9/16/2026)

Thesis in one line: A game studio sitting on about KRW1.5tn of net cash (37% of market cap). Its founder is CEO, chair and one of Korea's best-paid executives, and it has a new M&A shopping list.

Activist opportunity 7/10 · Ease of support 3/5 · Primary angle: Excess cash / M&A discipline

TSR (local, incl. divs)	Company	Sector peers	KOSPI TR	Valuation & profitability (LTM)	Company	Peer median	vs peers
1-year	**+1%**	−22%	+53%	**EV / Sales**	**1.2x**	1.6x	−25%
3-year	**−5%**	−2%	+132%	**EV / EBIT**	**9.0x**	7.1x	+26%
5-year	**−64%**	−62%	+92%	**P / E**	**6.5x**	9.0x	−27%
Net cash / mkt cap	37%			**FCF yield**	**5.3%**	10.2%	−48%
Inv. securities / mkt cap	13%			**EBIT margin**	**13.5%**	27.4%	−14pp
ROE (LTM)	17.4%			**EBITDA margin**	**18.0%**	30.8%	−13pp
P / Book	1.14x			**Net debt / EBITDA**	**Net cash**	Net cash	–

#	Top 5 shareholders	%	Type / comment
1	Kim Taek-jin (founder, co-CEO & chair) + related	12.4%	Founder group
2	National Pension Service (NPS)	9.8%	Swing vote
3	Savvy Games Group (Saudi PIF)	9.4%	Strategic/financial, passive
4	Netmarble	8.9%	Cross-holding (2015 swap)
5	Memo: treasury shares	9.6%	Not a holder

What an activist would say

- **Five years of value destruction.** 5-year TSR is −64%, against +92% for KOSPI and −62% for listed game peers. The Lineage cash cow funded failed launches (Throne & Liberty in Korea, Battle Crush) and a bloated cost base until the 2024–25 restructuring.
- **Earnings have recovered; the multiple has not.** Q2-26 OP of KRW174bn was a record quarter, yet EV/EBIT is only 9.0x. More than half the balance sheet is liquid financial assets earning treasury yields.
- **Capital is being redeployed into the wrong things.** There is a KRW1–2tn M&A budget for mobile casual games (JustPlay about US$202m, Indygo about US$104m). The dividend is 30% of net income, about 7% of Netmarble is tied up in a legacy cross-holding, and the company owns a professional baseball club.

Most actionable changes

1. **Return about KRW1tn** through a tender offer or buyback with cancellation, and raise the dividend payout to 50% of net income.
2. **Cap M&A with a published 15% ROIC hurdle** and independent-director sign-off. Unwind the Netmarble cross-holding and sell NC Dinos.
3. **Separate the chair from the CEO** and restructure Kim Taek-jin's pay into TSR-linked equity.

Ease of building support: 3/5. Kim plus related parties (12.4%), swap partner Netmarble (8.9%) and treasury stock (9.6%) form a friendly bloc of about 31%. NPS (9.8%) and Saudi Savvy Games (9.4%) are the swing votes. September 2026 press reports that Netmarble may sell its stake could open the register. Mandatory treasury cancellation by the 2027 AGM also removes part of the defence.

Expected company defence: "Earnings are inflecting: Lineage Classic, the Aion 2 global launch on 30 September 2026 and about 10 new titles. Cash is strategic for buying IP, our ROE target is ≥15%, and treasury shares fund employee equity."

Our rebuttal: Cash at about a third of market cap is not a war chest. It is a discount that management has chosen to keep. A 15% ROE target is unreachable with half the assets in deposits.

Activist angles: Capital allocation (excess cash) · M&A discipline · Governance (CEO = chair) · Cross-holding unwind (Netmarble)

13. T. Hasegawa (4958 JP)

Flavours & fragrances · Mkt cap US$0.9bn (¥139bn) · Net cash ¥35bn · Workbook view: Buy (9/30/2026)

Thesis in one line: Japan's No.2 flavour house trades at less than half the EV/EBIT of global flavour-and-fragrance peers, with ROE of about 5% and ¥46bn of cash and policy shares on the balance sheet.

Activist opportunity 7/10 · Ease of support 3/5 · Primary angle: Valuation gap / strategic review

TSR (local, incl. divs)	Company	Sector peers	TOPIX TR	Valuation & profitability (LTM)	Company	Peer median	vs peers
1-year	**+27%**	+21%	+28%	**EV / Sales**	**1.3x**	2.8x	−52%
3-year	**+16%**	+41%	+82%	**EV / EBIT**	**11.4x**	26.8x	−57%
5-year	**+37%**	−5%	+109%	**P / E**	**17.6x**	44.3x	−60%
Net cash / mkt cap	25%			**FCF yield**	**6.0%**	2.9%	+106%
Inv. securities / mkt cap	8%			**EBIT margin**	**11.6%**	10.5%	+1pp
ROE (LTM)	5.8%			**EBITDA margin**	**18.9%**	16.2%	+3pp
P / Book	1.03x			**Net debt / EBITDA**	**Net cash**	2.8x	–

#	Top 5 shareholders	%	Type / comment
1	Hasegawa Totaro Shoten Co. (founder-family asset company)	16.3%	6,620.6k sh
2	Master Trust Bank of Japan (trust a/c)	12.4%	nominee
3	JPMorgan Chase Bank 380055 (nominee)	12.2%	likely First Eagle (5% filing 13.00%, 5,551,100 sh as of…
4	SL Omnibus Account (Chase Manhattan London, nominee)	6.1%	2,491k sh
5	Hasegawa International Scholarship Foundation (family-related public-interest foundation)	4.9%	2,000k sh

What an activist would say

- **A scarce asset priced like a commodity chemical.** Flavours and fragrances is one of the most consolidated and highly rated sectors in consumer staples. T. Hasegawa trades at 11.4x EV/EBIT against a peer median of 26.8x (Givaudan, Symrise, IFF, Takasago). 3-year TSR is +16%, against +82% for TOPIX and +41% for peers.
- **Capital is trapped.** Net cash of ¥35bn plus ¥10.7bn of listed policy shareholdings in food and beverage customers hold ROE at about 5–6%. Treasury stock of about 5% is uncancelled, and the new MTP puts ¥36.8bn into capex (Fukaya renewal, US, China and Malaysia plants) rather than returns.
- **Overseas M&A has been patchy.** Mission Flavors (US, 2020) carries an impairment indicator and the US unit is loss-making, while ABELEI (2024) and Vietnam's Hoang Anh (2025) are newer. The EBIT margin is 11.6% against a peer median of 10.5%.

Most actionable changes

1. **Run a formal strategic review**, including a sale or merger with a global flavour house, which would be the most direct route to closing a multiple gap of 50%+. Takasago, Givaudan, Symrise and IFF have all been consolidators.
2. **Sell all policy shareholdings and return surplus cash** through a buyback with cancellation. Set ROE ≥10% as an explicit MTP target.
3. **Board refresh**: independent majority, retirement of the long-tenured outside director (on the board since 2014) and of the 79-year-old representative chairman.

Ease of building support: 3/5. The founder-family company (Hasegawa Totaro Shoten 16.3%) and foundation (4.9%) hold about 21%, with Ajinomoto and the employee association adding about 5%. Against that, long-only foreign value holders are significant: JPMorgan nominee (likely First Eagle) 12.2%, MFS 6.3%, Burgundy 3.0%. There is no activist yet and no takeover defence plan. A sale-process thesis would appeal strongly to the foreign value holders.

Expected company defence: "We have switched to DOE ≥3% and raised the dividend 35%, are selling policy shares, and our capex builds the overseas footprint (now >51% of sales) needed to compete with global players. Independence protects customer relationships."

Our rebuttal: Global flavour leaders earn twice the margin on the same customer relationships. If independence is worth a 50% valuation discount, shareholders should be asked whether they want to pay for it.

Activist angles: M&A (strategic review / sale) · Capital allocation · Cross-shareholding unwind · Governance (board refresh)

14. Enplas Corporation (6961 JP)

IC test & burn-in sockets, engineering plastics, optics · Mkt cap US$0.6bn (¥87bn) · Net cash ¥16bn · Workbook view: Buy (10/2/2026)

Thesis in one line: A global leader in IC test and burn-in sockets riding AI/HPC demand trades at 9.4x EV/EBIT against 19.8x for peers. A founder-CEO protected by a poison pill has no capital-allocation framework.

Activist opportunity 7/10 · Ease of support 3/5 · Primary angle: Capital allocation / poison pill

TSR (local, incl. divs)	Company	Sector peers	TOPIX TR	Valuation & profitability (LTM)	Company	Peer median	vs peers
1-year	**+84%**	+67%	+28%	**EV / Sales**	**1.5x**	0.7x	+113%
3-year	**+11%**	+261%	+82%	**EV / EBIT**	**9.4x**	19.8x	−52%
5-year	**+274%**	+346%	+109%	**P / E**	**13.1x**	26.6x	−51%
Net cash / mkt cap	18%			**FCF yield**	**1.7%**	1.5%	+11%
Inv. securities / mkt cap	4%			**EBIT margin**	**16.5%**	16.2%	+0pp
ROE (LTM)	10.3%			**EBITDA margin**	**21.6%**	24.6%	−3pp
P / Book	1.35x			**Net debt / EBITDA**	**Net cash**	Net cash	–

#	Top 5 shareholders	%	Type / comment
1	Yokota Daisuke	15.5%	Founder family
2	Master Trust Bank of Japan (trust a/c)	11.0%	Nominee (573k inv. trusts, 19k pension)
3	Custody Bank of Japan (trust a/c)	6.2%	Nominee (343k inv. trusts, 174k pension)
4	Mizuho Bank	4.8%	Main bank / policy holder (Enplas holds 148,298 Mizuho FG shares –…
5	Saitama Resona Bank	4.8%	Bank / policy holder

What an activist would say

- **An AI winner that has de-rated anyway.** Semiconductor orders rose 72.6% in FY3/26 with backlog up 3.8x. Yet 3-year TSR is +11%, against +82% for TOPIX and +261% for socket and probe-card peers, and P/E is 13.1x against 26.6x. (5-year TSR is strong because of the 2021–23 re-rating; the stock qualifies on the 3-year test.)
- **The portfolio hides the socket franchise.** Semiconductor earns about ¥5.0bn of OP on ¥23.6bn of sales (about 21%). Energy Saving Solutions (engineering plastics) earns 7.3%, Life Science is subscale, and Digital Communication (optical devices, LED lenses) lost ¥0.3bn as sales fell 66%.
- **There is no capital-allocation framework.** There is no payout or DOE target and no buyback since the 2022 cancellation, despite net cash of ¥16bn. An advance-warning poison pill was renewed in 2024. The founder-family CEO (since 2008) chairs the board and sits on the nomination committee.

Most actionable changes

1. **Exit Digital Communication, review Life Science and engineering plastics,** and report the semiconductor business with standalone margin and ROIC targets.
2. **Adopt a ≥50% total-payout policy**, start with a ~¥10bn buyback with cancellation, and cancel the 7.2% treasury stock.
3. **Vote down renewal of the poison pill at the June 2027 AGM** (its sunset) and separate the chair from the CEO.

Ease of building support: 3/5. The Yokota family holds about 23.5% (CEO 15.5%, family 4.6%, foundation 3.3%). Main banks (Mizuho 4.8%, Saitama Resona 4.8%) take the friendly bloc to about 33%. Foreign ownership is about 29% and there is no activist yet. The June 2027 pill-renewal vote is a natural flashpoint: it needs a majority of votes cast, and foreign holders and domestic asset managers increasingly vote against pills.

Expected company defence: "We are investing in capacity ahead of AI socket demand, and the semiconductor cycle is volatile, so we keep cash. Our new mid-term policy targets ROE ≥10% by FY3/29, and the pill protects shareholders against coercive bids."

Our rebuttal: A 10% ROE target three years out, for a business whose socket orders are growing 70%, is not ambition. A pill at a founder-controlled company with net cash protects management, not shareholders.

Activist angles: Capital allocation · Portfolio simplification · Governance (poison pill, CEO/chair)

15. Hi-Lex Corporation (7279 JP)

Auto control cables, window regulators, door systems · Mkt cap US$0.5bn (¥81bn) · Net cash ¥57bn · Workbook view: Buy (7/23/2026)

Thesis in one line: An auto-parts supplier at about 0.4x book whose net cash and securities exceed its market cap. Core EBIT margin is about 1%, and the family has renewed a takeover defence to protect it.

Activist opportunity 7/10 · Ease of support 2/5 · Primary angle: Excess capital / margin

TSR (local, incl. divs)	Company	Sector peers	TOPIX TR	Valuation & profitability (LTM)	Company	Peer median	vs peers
1-year	**−17%**	−6%	+28%	**EV / Sales**	**0.1x**	0.3x	−81%
3-year	**+72%**	+51%	+82%	**EV / EBIT**	**5.9x**	7.7x	−24%
5-year	**+36%**	+83%	+109%	**P / E**	**n.m.**	18.8x	–
Net cash / mkt cap	70%			**FCF yield**	**4.5%**	5.4%	−16%
Inv. securities / mkt cap	40%			**EBIT margin**	**1.0%**	5.4%	−4pp
ROE (LTM)	21.2%			**EBITDA margin**	**3.5%**	9.3%	−6pp
P / Book	0.38x			**Net debt / EBITDA**	**Net cash**	Net cash	–

#	Top 5 shareholders	%	Type / comment
1	Teraura Kosan (founder-family asset company)	28.6%	10,598k sh (28.05% at 2025-10-31
2	CEPLUX - The Independent UCITS Platform 2 (Luxembourg; via Citibank)	4.7%	1,726k sh
3	Teraura Scholarship Foundation (public-interest foundation of late founder Teraura Ryusaburo)	4.2%	1,554k sh - family-aligned
4	Master Trust Bank of Japan (trust a/c)	3.4%	1,260k sh
5	Nippon Life Insurance	3.4%	1,259k sh

What an activist would say

- **The market values the operating business at less than zero.** Net cash of ¥57bn (70% of market cap) plus about ¥38bn of policy shareholdings (Honda, Asahi Intecc, Nishikawa) give an EV/Sales of 0.06x. 5-year TSR is +36%, against +109% for TOPIX and +83% for auto-parts peers.
- **Profitability is the real problem.** The core EBIT margin is about 1% against a peer median of 5.4%. The acquired Mitsui Kinzoku ACT door business added about ¥52bn of H1 sales at an operating loss. LTM profit is flattered by ¥28bn of negative goodwill and securities gains, so headline P/E and ROE are not meaningful.
- **Governance protects the status quo.** A founder-family president also chairs a 3–4 member board, and an advance-warning takeover defence plan was put up for renewal to 2029 at the January 2026 AGM. Treasury shares have never been cancelled.

Most actionable changes

1. **Return ¥40bn+ through a tender offer** (about 50% of market cap). Accelerate policy-share sales beyond the 10%-of-net-assets target to a full exit, and cancel treasury stock.
2. **Publish an ACT integration and domestic-factory consolidation plan** with a ≥5% group OP margin target and segment ROIC, or partner the door-systems business with a larger tier-1 supplier.
3. **Abolish the takeover defence plan and add independent directors.** If the family wants control at 0.4x book, the right route is a fair-priced MBO, not a pill.

Ease of building support: 2/5. The Teraura family bloc holds about 34% (Teraura Kosan 28.7%, the family foundation 4.2%, the president about 1.4%), and reciprocal holders (Honda, Nishikawa, Nippon Life, MUFG) add about 12%. The stable base is therefore about 45%. Zennor (7.4%) is engaged privately. A public campaign alone is unlikely to win a vote, so the realistic catalysts are an MBO at a premium or TSE/proxy-adviser pressure on the pill.

Expected company defence: "We are reducing policy holdings to 10% of net assets, have bought back ¥1.5bn and paid an 80th-anniversary dividend. ACT was a bargain purchase that makes us a door-system supplier, and the defence plan protects long-term value through the EV transition."

Our rebuttal: Selling down to "10% of net assets" still leaves about ¥17bn in other companies' shares. A bargain purchase that loses money is not a bargain for minority shareholders at 0.4x book.

Activist angles: Capital allocation (excess cash) · Cross-shareholding unwind · Margin / operations · Governance (pill, family control) · MBO potential

16. Hosokawa Micron (6277 JP)

Powder-processing & particle technology equipment · Mkt cap US$0.6bn (¥92bn) · Net cash ¥30bn · Workbook view: Buy (9/3/2026)

Thesis in one line: The global niche leader in powder processing holds net cash of about 33% of market cap. Repeated German restructurings and a 36% profit cut in August 2026 leave it far short of its own 12% margin and ROE vision.

Activist opportunity 6/10 · Ease of support 4/5 · Primary angle: Excess cash / restructuring

TSR (local, incl. divs)	Company	Sector peers	TOPIX TR	Valuation & profitability (LTM)	Company	Peer median	vs peers
1-year	**+15%**	+16%	+28%	**EV / Sales**	**0.8x**	1.3x	−43%
3-year	**+73%**	+118%	+82%	**EV / EBIT**	**15.3x**	14.7x	+4%
5-year	**+125%**	+147%	+109%	**P / E**	**38.6x**	21.2x	+82%
Net cash / mkt cap	33%			**FCF yield**	**1.5%**	2.7%	−46%
Inv. securities / mkt cap	4%			**EBIT margin**	**5.0%**	9.0%	−4pp
ROE (LTM)	3.3%			**EBITDA margin**	**8.3%**	11.5%	−3pp
P / Book	1.28x			**Net debt / EBITDA**	**Net cash**	0.2x	–

#	Top 5 shareholders	%	Type / comment
1	Master Trust Bank of Japan (trust a/c)	11.9%	1,743k sh (nominee)
2	ACION Japan Engagement Master Fund (Cayman; via Mizuho)	4.9%	719k sh - engagement fund
3	Bank of New York Mellon 140042	4.0%	586k sh (nominee)
4	Sumitomo Mitsui Banking Corp.	3.8%	564k sh (lender/stable holder)
5	Toho Sangyo Co. (registered at Hosokawa HQ address - founder-family related, inference)	3.7%	546k sh

What an activist would say

- **A world-class niche with sub-par economics.** Hosokawa Alpine and its sister companies are category leaders in milling, classifying and film-blowing equipment, yet the EBIT margin is 5.0% against the 12% long-term target. 3-year TSR is +73%, against +82% for TOPIX and +118% for process-equipment peers.
- **Europe is a chronic drag.** Loss-making Hosokawa Solids Solutions (Germany and Spain), impairments in FY2024–25, a warehouse-software write-off, and low German utilisation on legacy low-price orders have followed one another. FY9/26 OP guidance was cut 36% in August 2026.
- **The balance sheet is idle.** Net cash is ¥30bn; the analyst estimates about ¥18bn of it is surplus. Treasury stock of 6.8% has never been cancelled, despite a ≥50% total-return policy.

Most actionable changes

1. **Return about ¥15bn of surplus cash** (about 15% of market cap) through a buyback with cancellation, and move to a 100% total payout until net cash falls to six months of fixed cost.
2. **Sell or close Hosokawa Solids Solutions** and consolidate German manufacturing, with a published bridge to a 10% margin by FY9/28.
3. **Strengthen the board and set a clear succession and accountability framework**, with pay linked to ROE ≥10%.

Ease of building support: 4/5. Fully institutional. Foreign ownership is 37%; the identifiable family stake is only about 5.5% (President Hosokawa about 1.8%, Toho Sangyo 3.7%), and the stable holders (SMBC 3.8%, Bank of Kyoto 2.7%) are small. ACION Japan Engagement has nearly doubled its stake to 4.9% in six months. There is no takeover defence plan.

Expected company defence: "We raised the total-return target from 30% to ≥50% and pay a 110th-anniversary dividend. Restructuring benefits are coming through, the order book is recovering, and we need cash for the 18th MTP's ~¥15bn of growth investment."

Our rebuttal: Growth investment of ¥15bn over three years leaves the surplus cash untouched. Each European restructuring has been followed by another.

Activist angles: Capital allocation (excess cash) · Restructuring / non-core exit (Germany) · Governance

17. Teikoku Sen-i (Teisen) (3302 JP)

Fire hoses, disaster-prevention & rescue equipment · Mkt cap US$0.5bn (¥75bn) · Net cash ¥26bn · Workbook view: Avoid (4/30/2026)

Thesis in one line: Japan's leading fire-hose and disaster-response equipment maker. Net cash (34% of market cap) plus investment securities, mainly a Hulic cross-holding, equal about 85% of its value.

Activist opportunity 6/10 · Ease of support 3/5 · Primary angle: Balance sheet / cross-holdings

TSR (local, incl. divs)	Company	Sector peers	TOPIX TR	Valuation & profitability (LTM)	Company	Peer median	vs peers
1-year	**−8%**	+21%	+28%	**EV / Sales**	**1.3x**	1.2x	+5%
3-year	**+73%**	+157%	+82%	**EV / EBIT**	**9.1x**	9.9x	−8%
5-year	**+63%**	+127%	+109%	**P / E**	**15.9x**	16.0x	−1%
Net cash / mkt cap	34%			**FCF yield**	**6.5%**	3.9%	+66%
Inv. securities / mkt cap	51%			**EBIT margin**	**13.9%**	12.5%	+1pp
ROE (LTM)	6.4%			**EBITDA margin**	**15.8%**	14.9%	+1pp
P / Book	1.01x			**Net debt / EBITDA**	**Net cash**	Net cash	–

#	Top 5 shareholders	%	Type / comment
1	Master Trust Bank of Japan (trust a/c)	8.2%	Nominee
2	Nippon Active Value Fund plc (NAVF)	6.6%	Activist
3	Mizuho Bank	5.0%	Main bank / policy holder
4	Meiji Yasuda Life Insurance	4.9%	Policy holder
5	Hulic	3.4%	Reciprocal cross-holder (approx.)

What an activist would say

- **The peer group re-rated; Teisen did not.** Fire-safety peers (Hochiki, Nohmi Bosai, Morita) re-rated on disaster-resilience spending, with a peer-median 3-year TSR of +157%. Teisen returned +73%, against +82% for TOPIX, and 1-year TSR is −8%.
- **The balance sheet is a bank-era relic.** Net cash of ¥26bn plus investment securities equal to 51% of market cap, largely a historic Hulic stake (with Hulic holding about 3.4% of Teisen in return), leave ROE at 5–6% against a missed 8% target.
- **The board keeps saying no.** The chairman is ex-Fuji Bank, with the company since 1992 and its top executive since 2012, and still holds representative authority. The company uses a kansayaku structure with a minority of independents. NAVF's 2025 proposals (¥6.8bn buyback, majority-outside board) won 22% and 15%, and its 2026 slate also failed.

Most actionable changes

1. **Sell the Hulic and other policy shareholdings** and return the proceeds through a ~¥20bn tender (about 25% of market cap).
2. **Raise the total return ratio from 50% to 100%** until net cash plus securities falls below 25% of market cap, and cancel treasury stock.
3. **Retire the representative-chairman role and move to a majority-independent board.** Use the balance sheet for disaster-resilience M&A only with a published ROIC hurdle.

Ease of building support: 3/5. There is no founder family and no holder above about 10%. NAVF and its joint holders own 10.1%, Master Trust 8.2%, Mizuho Bank 5.0% and Meiji Yasuda 4.9%, and friendly cross-holders (Mizuho group, Hulic, Morita, Tokyo Tatemono) total about 19%. Minority support has been capped near 20–25%, but SMD-AM backed NAVF's buyback in 2026. A larger, more targeted ask (unwind the Hulic cross-holding) could swing domestic asset managers.

Expected company defence: "Teisen 2028 raises the total return ratio to 50% and the dividend to ¥65, demand for disaster-prevention equipment is surging (H1 EBIT up sharply), and we need capital for next-generation disaster-response vehicles and M&A."

Our rebuttal: Strong demand is the reason the cash is unnecessary. Holding a Hulic stake worth about half the market cap is a real-estate bet shareholders can make for themselves.

Activist angles: Capital allocation · Cross-shareholding unwind (Hulic) · Governance (board independence)

18. The Pack Corporation (3950 JP)

Retail paper bags, packaging & printing · Mkt cap US$0.5bn (¥79bn) · Net cash ¥22bn · Workbook view: Buy (7/24/2026)

Thesis in one line: A sticky, cash-generative retail-packaging franchise with 51 listed policy holdings, uncancelled treasury stock and a 3-of-8 independent board. NAVF has built about 11% in seven months.

Activist opportunity 6/10 · Ease of support 3/5 · Primary angle: Capital allocation / cross-holdings

TSR (local, incl. divs)	Company	Sector peers	TOPIX TR	Valuation & profitability (LTM)	Company	Peer median	vs peers
1-year	**+24%**	+35%	+28%	**EV / Sales**	**0.5x**	0.8x	−30%
3-year	**+53%**	+85%	+82%	**EV / EBIT**	**7.9x**	17.7x	−55%
5-year	**+72%**	+84%	+109%	**P / E**	**14.1x**	12.9x	+9%
Net cash / mkt cap	27%			**FCF yield**	**−1.6%**	2.7%	–
Inv. securities / mkt cap	8%			**EBIT margin**	**6.9%**	5.0%	+2pp
ROE (LTM)	7.3%			**EBITDA margin**	**9.7%**	10.8%	−1pp
P / Book	1.02x			**Net debt / EBITDA**	**Net cash**	2.3x	–

#	Top 5 shareholders	%	Type / comment
1	Morita Memorial Welfare Foundation	11.3%	Founder (Morita) family-linked public-interest foundation – stable…
2	The Pack Business Partners Shareholding Association	6.9%	Stable/friendly
3	BBH for Fidelity Low-Priced Stock Fund	6.6%	Fidelity (FMR) – passive/value long-only
4	Nippon Active Value Fund plc	5.6%	Activist (Rising Sun Management / Paul ffolkes Davis)
5	NAVF Select LLC	5.1%	NAVF affiliate – concert party with Nippon Active Value Fund…

What an activist would say

- **Quality franchise, sub-par equity story.** Pack is Japan's leading supplier of branded retail carrier bags and boxes, with stable FCF and net cash of ¥22bn (27% of market cap). 3-year TSR is +53% and 5-year +72%, against TOPIX at +82% and +109%.
- **The balance sheet is a customer-relations tool.** Pack holds 51 listed policy shareholdings (¥4.2bn) plus 10 unlisted, many acquired through customer shareholding associations. It also has mutual holdings with paper suppliers (Hokuetsu) and Daiwa House.
- **Capital policy improved only under pressure.** The new MTP (70% total payout, ¥2bn buyback, "swift resolution of P/B <1x") arrived as NAVF crossed 5%. ROE is targeted at only ≥8%, roughly in line with the company's own cost-of-equity estimate.

Most actionable changes

1. **Sell all policy shareholdings within two years** and cancel the 7.45% treasury stock.
2. **Raise the ROE target to ≥10% with a debt-funded tender offer**, consistent with the MTP's own "capital structure optimisation using debt".
3. **Move to a majority-independent board** and end the representative-chairman role held by the former president.

Ease of building support: 3/5. Stable bloc of about 30%: the Morita founder foundation (11.3%), a business-partners shareholding association (6.9%) and paper suppliers. Against that, NAVF holds about 10.8% and Fidelity Low-Priced Stock 6.6%, with foreign ownership of about 21%. The 2020 abolition of the poison pill shows the board responds to institutional votes.

Expected company defence: "Our new MTP already raises the total payout to 70%, includes a ¥2bn buyback and commits to resolving P/B <1x. We sold ¥1.8bn of policy shares in FY2025, and packaging needs ¥35bn of growth capex."

Our rebuttal: The 70% total payout on ~¥4bn of net income is less than the excess cash already on the balance sheet. Policy-share sales of ¥1.8bn a year leave the problem in place for another three years.

Activist angles: Capital allocation · Cross-shareholding unwind · Governance (board independence)

19. Hodogaya Chemical (4112 JP)

OLED materials, functional colourants, agrochemicals · Mkt cap US$0.2bn (¥33bn) · Net cash ¥2bn · Workbook view: Buy (8/31/2026)

Thesis in one line: At a possible ~KRW1tn IPO valuation, Hodogaya's 53% stake in Korean OLED-materials maker SFC would be worth about 1.9x Hodogaya's own market cap. The board renewed its takeover defence while an investor built 14.5%.

Activist opportunity 6/10 · Ease of support 3/5 · Primary angle: SOTP / SFC listing

TSR (local, incl. divs)	Company	Sector peers	TOPIX TR	Valuation & profitability (LTM)	Company	Peer median	vs peers
1-year	**+16%**	+64%	+28%	**EV / Sales**	**0.6x**	1.1x	−41%
3-year	**+47%**	+90%	+82%	**EV / EBIT**	**7.2x**	10.7x	−33%
5-year	**−10%**	+131%	+109%	**P / E**	**9.5x**	13.4x	−29%
Net cash / mkt cap	5%			**FCF yield**	**3.5%**	1.8%	+91%
Inv. securities / mkt cap	47%			**EBIT margin**	**8.8%**	10.4%	−2pp
ROE (LTM)	6.4%			**EBITDA margin**	**15.5%**	15.6%	−0pp
P / Book	0.61x			**Net debt / EBITDA**	**Net cash**	0.5x	–

#	Top 5 shareholders	%	Type / comment
1	Master Trust Bank of Japan (trust a/c)	9.7%	Nominee
2	Tosoh Corp.	8.6%	Strategic/cross-holder (Hodogaya holds 1,175,000 Tosoh shares, JPY…
3	Matsui Securities	5.5%	Broker name - margin/retail positions (beneficial owners not…
4	Japan Securities Finance	4.4%	Margin-lending nominee
5	Mizuho Bank	3.7%	Main bank / policy holder

Register (31 March 2026) shown; the Ueshima group's 14.5% (5% report, 10 September 2026) and Nomura's 6.8% are held through nominee or brokerage accounts.

What an activist would say

- **The stock is a discounted holdco with a free operating business attached.** SFC filed for a KOSPI listing in July 2026 and reportedly cleared preliminary review on 15 October at a target value of about KRW1tn. On that basis the 53% stake is worth about ¥62bn, against a Hodogaya market cap of ¥33bn. P/B is 0.61x; 3-year TSR is +47% and 5-year −10%, against TOPIX at +82% and +109%.
- **Capital is being spent, not returned.** There are no meaningful buybacks, and DOE is 1.6%, targeted to reach 3% only by FY3/2031. The new plan cuts the equity ratio from 61% to about 45% to fund M&A: Framochem in Hungary, price not disclosed, plus a 5% stake in Yuki Gosei. The previous plan missed its OP target by about 50%.
- **Governance is defensive.** The takeover defence plan was renewed at the June 2026 AGM. Only 3 of 7 directors are independent, the CEO (in post since 2016) chairs the board, and strategic shareholdings of ¥10.9bn equal about a third of market cap.

Most actionable changes

1. **Commit now to SFC monetisation.** Sell down in the IPO or distribute shares, and return most of the proceeds via tender offer instead of funding further M&A. Avoid a permanent parent–subsidiary listing.
2. **Abolish the takeover defence plan** and appoint a majority-independent board with an independent chair.
3. **Sell the ¥10.9bn of strategic shareholdings, including the Tosoh cross-holding, and cancel treasury stock.** Set DOE ≥5%, in line with the activist vehicle's own name, "DOE5%".

Ease of building support: 3/5. Fragmented register: Master Trust 9.7%, Tosoh 8.6% (cross-holding) and Mizuho 3.7% on the register. The Ueshima Mikikuro group (vehicle "DOE5%") has built a 14.5% stake (September 2026), making it the de facto largest holder, and Nomura holds 6.8%. The pill renewal shows the board will defend, but a well-timed campaign around the SFC IPO is likely to command majority support.

Expected company defence: "SFC's listing will crystallise value for all shareholders; the LG Chem litigation and IPO timing mean we must keep flexibility. Framochem diversifies our earnings, and we are raising the dividend progressively toward DOE 3%."

Our rebuttal: "Crystallising value" without a distribution policy just creates a second listed subsidiary. Shareholders should get the cash, not a new acquisition budget.

Activist angles: SOTP / subsidiary monetisation (SFC) · Capital allocation · Governance (takeover defence) · Cross-shareholding unwind

20. Fudo Tetra (1813 JP)

Ground improvement & marine civil engineering · Mkt cap US$0.3bn (¥42bn) · Net cash ¥2bn · Workbook view: Buy (7/22/2026)

Thesis in one line: Japan's ground-improvement leader is tied to a near-zero-margin marine civil-engineering arm. Two 2025 misconduct findings occurred on its board's watch, and Effissimo holds about 29%.

Activist opportunity 6/10 · Ease of support 4/5 · Primary angle: Portfolio / governance (with Effissimo)

TSR (local, incl. divs)	Company	Sector peers	TOPIX TR	Valuation & profitability (LTM)	Company	Peer median	vs peers
1-year	**+12%**	+7%	+28%	**EV / Sales**	**0.5x**	0.6x	−16%
3-year	**+56%**	+101%	+82%	**EV / EBIT**	**6.4x**	6.7x	−5%
5-year	**+87%**	+119%	+109%	**P / E**	**9.4x**	11.1x	−15%
Net cash / mkt cap	5%			**FCF yield**	**−9.3%**	5.6%	–
Inv. securities / mkt cap	8%			**EBIT margin**	**7.4%**	7.1%	+0pp
ROE (LTM)	12.0%			**EBITDA margin**	**12.2%**	8.4%	+4pp
P / Book	1.13x			**Net debt / EBITDA**	**Net cash**	Net cash	–

#	Top 5 shareholders	%	Type / comment
1	Goldman Sachs International (nominee)	15.3%	Prime-broker nominee
2	Master Trust Bank of Japan (trust a/c)	9.0%	Nominee
3	MLI for Segregated PB Client (BofA Securities)	5.2%	Prime-broker nominee
4	CGML PB Client Account/Collateral (Citibank)	4.1%	Prime-broker nominee
5	JPMSPLC Client Assets SK JPY	3.5%	Nominee

Register lines (31 March 2026) shown. Effissimo's ~29% (27.28% of issued, February 2026 report) is likely held via the Goldman Sachs / Merrill Lynch / Citi prime-broker accounts (inference).

What an activist would say

- **One business earns all the profit.** Ground improvement generates about 95% of segment profit at a ~15.5% margin, while marine civil engineering earns about 0.8%. The group EV/EBITDA of 3.9x (peer median 5.8x) prices the whole company like the weak half. 3-year TSR is +56%, against +82% for TOPIX and +101% for construction peers.
- **Controls failed twice in a year.** Employees placed fake or inflated orders in 2025, and a special committee found improper cost transfers in November 2025, which delayed the half-year filing. Two outside directors with fraud-investigation backgrounds were added only in June 2026.
- **Capital returns are dividend-only.** Buybacks were negligible (¥9m), 7.2% treasury stock is uncancelled, operating cash flow was negative in FY3/26, and FY3/27 OP is guided down 19%.

Most actionable changes

1. **Separate or sell the marine civil-engineering business**, or JV it with a larger marine contractor, and focus capital on ground improvement (disaster resilience, land reclamation, infrastructure renewal).
2. **Tender for Effissimo's ~29% stake**, or run a market buyback of equivalent size with cancellation. This resolves the overhang and lifts EPS, and is the catalyst the workbook identifies.
3. **Make the outside directors' internal-control remediation report public**, and separate chair from CEO (Okuda, CEO since 2018).

Ease of building support: 4/5. Effissimo (about 29% excluding treasury) is the decisive holder and can likely block special resolutions. The rest of the register is institutional: prime-broker and nominee lines, Master Trust 9.0%. There is no takeover defence, and strategic shareholdings are small. Any campaign needs Effissimo on side, and a self-tender for its stake offers it an exit, which aligns incentives.

Expected company defence: "ROE of 12.3% beats our 9% target, the dividend nearly doubled to ¥115, and new outside directors have fixed the controls. Marine civil engineering wins public tenders that support ground-improvement work."

Our rebuttal: A one-off dividend boost is not a capital policy. A 0.8% margin business does not need to be owned to win tenders; it can be partnered.

Activist angles: Portfolio simplification · Capital allocation (Effissimo exit) · Governance (internal control)

Appendix A — Near-misses and names screened out

Company	Ticker	Reason excluded / status
TS Tech	7313 JP	Near-miss: TSR lags TOPIX by 61pp (3y) and 65pp (5y) but beats a distressed seat-maker peer basket (Lear, Adient, Toyota Boshoku). Net cash is large relative to market cap and Honda holds ~22%. Watchlist.
Kumho Petrochemical	011780 KS	Near-miss: TSR lags KOSPI by ~140pp but beats Korean petrochemical peers (LG Chem, Lotte Chemical). Family bloc ~18% (plus nephew 10%), treasury 10.5%, NPS 9.6%. Price series uses the preferred share as a proxy. Watchlist.
Wacom	6727 JP	Near-miss: net cash, fragmented register (AVI ~15% joint, Samsung 6.2%) and TSR well below TOPIX, but 3y/5y TSR (+68% / +39%) beats a weak peer basket (Logitech, Elecom, Alps Alpine, Synaptics). Watchlist.
Horiba	6856 JP	TSR +243% (3y) / +276% (5y), well ahead of TOPIX and peers. Oasis (9.9%) is already the largest holder.
SK Kaken	4628 JP	Fails ownership: the Fujii family bloc is ~41% (Shikoku Kosan 31.9% plus family members). Otherwise a textbook case: net cash 74% of market cap, EV/EBIT 2.4x, 13.9% treasury, AVI proposals rejected four years running. Watch for an MBO.
Tsurumi Manufacturing	6351 JP	TSR +223% (5y) after split adjustment; 3y beats peers. Dalton (13.7%) is engaged on payout. Strong governance case but fails the TSR test.
Obara Group	6877 JP	Founding family ~45.6% excluding treasury (Magome Kosan 25.7%, Obara Yasushi 17.8%), which is above the 40% threshold; TSR has also outperformed.
Toei Animation	4816 JP	Toei Co. 34.3% + TV Asahi 20.0% (two related media holders) is effectively controlling. TSR is weak but ownership blocks.
Komeri	8218 JP	Sasage family asset company 34.2% (joint holding ~34%), close to the threshold, and little surplus capital to redeploy (ND/EBITDA 0.5x).
Sakai Chemical / Katakura / Ebara Jitsugyo	4078 / 3001 / 6328 JP	TSR in line with or ahead of TOPIX over 3 years. Good governance angles (Zennor, Simplex, NAVF present; Katakura has ~¥110bn hidden real-estate gains) but fails the underperformance test.
KYB	7242 JP	Net debt/EBITDA 1.8x (S&P). Oasis ~7% already engaged.
Coway / Solum / Kolmar Holdings	021240 / 248070 / 024720 KS	Net debt/EBITDA 1.9x / 3.5x / 2.7x; Coway also has Netmarble ~25%, and Kolmar is family-controlled.
Sumitomo Chem. / Mitsubishi Chem. / DIC	4005 / 4188 / 4631 JP	Net debt/EBITDA 2.6x / 3.6x / 2.7x. Restructuring stories, but fail the balance-sheet test.
Hokuetsu / Daio Paper / Park24	3865 / 3880 / 4666 JP	Net debt/EBITDA 4.3x / 4.3x / 1.7x.
JR West / Sotetsu / Japan Airport Terminal	9021 / 9003 / 9706 JP	Infrastructure-style leverage (3.7x / high / 1.5x).
Rakuten Group	4755 JP	Consolidated bank, card and insurance operations make net-debt tests meaningless; large founder-related holdings. Analyst: NAV premium.
Korean holdcos & family companies	various KS	SK Inc, CJ, GS Holdings, SK Discovery/Chemicals, Doosan, Taekwang, KCC, Young Poong, Kisco, Iljin, SNT, Pan Ocean, KT Alpha and smaller family-run net-nets: controlling family or parent blocs per the analyst notes (not individually re-verified), and holdco leverage in several cases.
Seria / Xebio / GungHo	2782 / 8281 / 3765 JP	Seria: 3y TSR beats TOPIX. Xebio: family ~31%; 3y TSR only marginally below sports-retail peers and a weaker franchise. GungHo: earnings base eroding (LTM EBITDA ~¥7.5bn), which fails the business-quality test.
Kamigumi / Meisei / Matsumoto Yushi / Optex / Toho HD / A&D Holon / MegaChips	various JP	5-year TSR well ahead of TOPIX, with re-ratings largely done.

Appendix B — Peer baskets used

Company	Peer basket (valuation and TSR medians)
Omron	Keyence Corporation, YASKAWA Electric Corporation, Fanuc Corporation, Azbil Corporation, Mitsubishi Electric Corporation
Daikin	Carrier Global Corporation, Trane Technologies plc, Johnson Controls International plc, Lennox International Inc., Mitsubishi Electric Corporation
Dentsu	Publicis Groupe S.A., Omnicom Group Inc., WPP plc, Hakuhodo DY Holdings Inc
NAVER	Kakao Corp., LY Corporation, Alphabet Inc.
Yamaha	Roland Corporation, Kawai Musical Instruments Manufacturing Co., Ltd., Sony Group Corporation, Shimano Inc.
Canon	Ricoh Company, Ltd., Konica Minolta, Inc., FUJIFILM Holdings Corporation, Nikon Corporation, Brother Industries, Ltd.
Shibaura Machine	Okuma Corporation, DMG Mori Co., Ltd., Makino Milling Machine Co., Ltd., The Japan Steel Works, Ltd.
KH Neochem	Mitsubishi Gas Chemical Company, Inc., Kuraray Co., Ltd., Daicel Corporation, Tosoh Corporation, Nippon Shokubai Co., Ltd.
Seiko Epson	Brother Industries, Ltd., Ricoh Company, Ltd., Canon Inc, HP Inc.
Rinnai	Noritz Corporation, TOTO LTD., LIXIL Corporation, Takara Standard Co.,Ltd., A. O. Smith Corporation
Autobacs Seven	Yellow Hat Ltd., Kohnan Shoji Co., Ltd., DCM Holdings Co., Ltd.
NC Corp	Netmarble Corporation, KRAFTON, Inc., Pearl Abyss Corp., NEXON Co., Ltd.
T. Hasegawa	Takasago International Corporation, Givaudan SA, Symrise AG, International Flavors & Fragrances Inc.
Enplas	Yamaichi Electronics Co.,Ltd., Micronics Japan Co., Ltd., Iriso Electronics Co., Ltd., Japan Aviation Electronics Industry, Limited
Hi-Lex	Tokai Rika Co., Ltd., NHK Spring Co., Ltd., Musashi Seimitsu Industry Co., Ltd., Aisin Corporation, Toyota Boshoku Corporation
Hosokawa Micron	Tsukishima Holdings Co., Ltd., Sumitomo Heavy Industries, Ltd., Ebara Corporation, GEA Group Aktiengesellschaft
Teikoku Sen-i	Morita Holdings, Nohmi Bosai, Hochiki
The Pack	Rengo Co., Ltd., Toyo Seikan Group Holdings, Ltd., Fuji Seal International, Inc., Oji Holdings Corporation
Hodogaya	Nippon Kayaku, Sumitomo Seika Chemicals, Kanto Denka Kogyo, Tosoh
Fudo Tetra	Penta-Ocean Construction, Toa Corp, Raito Kogyo, Nittoc Construction

Appendix C — Data caveats

- **TSR method.** ProntoNLP's pre-2025 price history is already dividend-adjusted, so TSR adds only dividends ex-dated after mid-February 2025, to avoid double counting. Residual error is about ±2pp. ADR/OTC lines (Yamaha, Omron, Canon, Seiko Epson) were converted to JPY with USDJPY of 114.2 / 149.6 / 151.1 / 157.6 at the 5y / 3y / 1y / current anchors.
- **Index levels.** TOPIX and KOSPI current and 1-year-ago levels come from the attached workbook; 3- and 5-year levels are approximations, with a simple dividend add-on (TOPIX 2.3%/yr, KOSPI 1.8%/yr).
- **Fundamentals.** S&P Capital IQ LTM to June 2026. EV ignores minority interests and treats investment securities as operating assets, so for cash- and securities-rich names (Teikoku Sen-i, Rinnai, NC, Hi-Lex) the ex-cash, ex-securities multiples are materially lower than shown.
- **Registers.** Top-5 shareholder tables come from the latest annual securities report or DART filing (mostly 31 March or 30 June 2026), supplemented by 5% large-shareholding reports where an activist's position is larger than the register shows. Percentages are of shares outstanding excluding treasury unless stated.
- **AGM votes.** Approval rates are from EDINET extraordinary reports as compiled by third-party aggregators. Where marked unverified, check the original filing before relying on them.
- **Search coverage.** Web access from the research environment was partly rate-limited. A small number of governance fields (mainly AGM vote percentages for small caps) are therefore null rather than estimated.